

ASIA PACIFIC BANKS

Riding Asia's liquidity wave; the earnings engine of HK/ SG Banks - STAN to Buy, Buy DBS & OCBC

HK/SG banks are entering a new profitability cycle driven by structural liquidity and sustained wealth inflows, rather than traditional loan growth. Deposits and AUM have accelerated meaningfully this year - up +8%/+4% in 1H25 vs 2024 - supporting NII resilience despite falling rates and boosting non-interest income with wealth fees/incomes up 20% in 1H vs 2024 annualized. We see these flows as structural, underpinned by Asia's rising affluence and cross-border capital mobility, particularly from Mainland China. Banks with large HK/SG exposure and disciplined balance-sheet and wealth monetization strategies are best positioned. We expect wealth revenue growth at 17% CAGR in 2024-27E outpacing operating growth CAGR of 3% with NII rising at 0.4% CAGR, aiding our expectations of an average 0.6% ROE accretion. Our **preferred names are DBS and OCBC (Buy)**. We also **upgrade STAN to Buy** as we raise our earnings estimate by 5%/6% in 2026E/27E on higher NII and non-NII on the back of robust liquidity momentum translating to an improving profitability outlook while valuations remain compelling. We are Neutral rated on UOB and Not Rated on HSBC.

Deposit inflow reshaping banks' balance sheet, supporting NII

STAN led the deposit growth this year at 10% YoY in 9M25 with DBS delivering the highest NII growth at +3% yoy despite the rate cut cycle - as excess deposits are reinvested into securities helping offset the rate pressure. Our analysis shows that while 1ppt of deposit growth adds only to 0.4% of operating income, its low capital intensity makes it highly ROE accretive (5bps per 1ppt). We see this as a structural multi-year growth driver, supported by rate differentials, corporate treasury consolidation, immigration regional wealth diversification and supportive regulations.

Wealth a structural growth engine as Asia affluence accelerates, those with HK/SG exposure best positioned

Asia wealth grew 11% in local currency in 2024 accounting for 21% of global wealth where HK/SG are the core wealth hubs. Banks under our coverage have delivered exceptional growth with wealth income up 46% in 9M25 vs 24% in 2024, contributing to 9%-28% of operating income. Our analysis shows ROEs at 35%-60%, well above group levels

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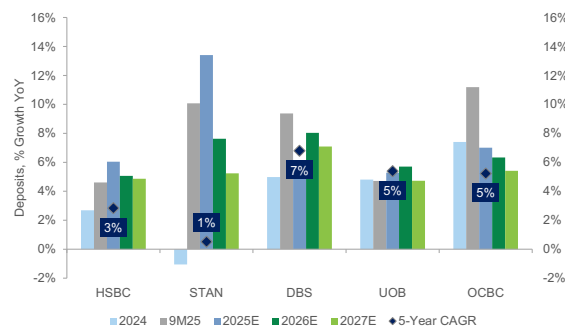
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as margins are particularly rich in Asia due to high transactional, higher risk investor profiles and especially so for our covered banks given their focus on affluent and rising mass-affluent segments. Every 10ppt increase in deposits associated with the AUM growth provides 14-40bps upside to ROEs – reinforcing wealth as a high-quality, scalable earnings engine. Among other factors, we see rising cross-border flows and gradual mainland regulatory easing to support inflows as it remains a swing factor with 62% of household financial assets in cash, which could potentially unlock a US\$7-10tn TAM for global players as Chinese households move their allocation of assets closer to that of households in HK/SG. Although wealth is a high ROE business with rich growth for our banks, we think the market has yet to fully value this business as when we value the affluent business unit on a standalone basis based on regional peer valuations, banks' stub valuations look attractive at 5-13X P/E, below DM peers at 13X.

With this note, Melissa Kuang assumes primary coverage of HSBC Holdings (0005.HK). Chris Hallam continues to have primary coverage for HSBC Holdings (HSBA.L). We are currently Not Rated on the shares.

Thesis in Key Charts

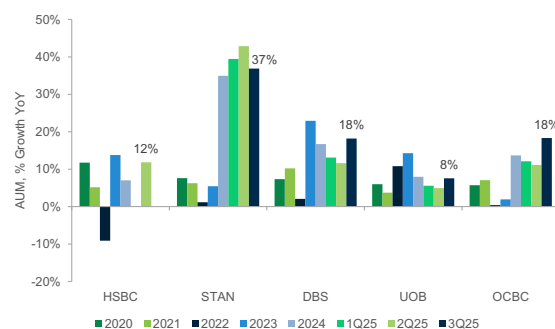
Exhibit 1: We expect deposit growth of players in our coverage to be higher-than-5-yr avg in 2026 / 2027 on aggregate. . .



In Reporting Currency.

Source: Company data, Goldman Sachs Global Investment Research

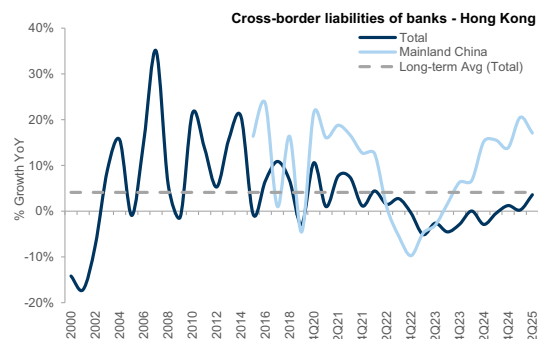
Exhibit 4: Wealth AUM growth for HK/SG players accelerated in 2024-25YTD. . .



In Reporting Currency.

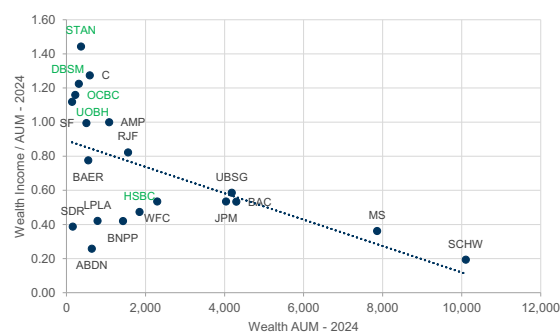
Source: Company data

Exhibit 2: . . . driven by continued growth in cross-border liabilities, particularly led by mainland China



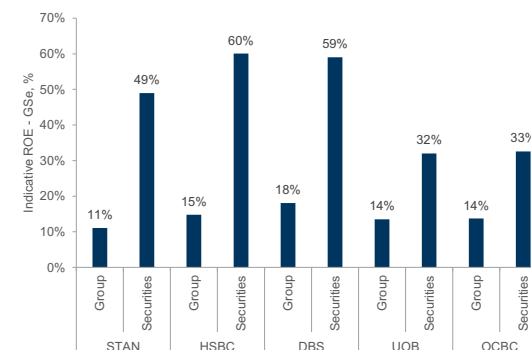
Source: BIS Data Portal

Exhibit 5: . . . with Asia focused banks largely having higher margins in US\$



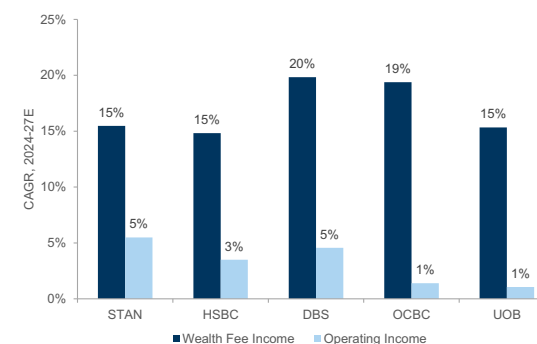
Source: Company data

Exhibit 3: Our analysis suggests that Asian banks in our coverage potentially make ROEs in the range of 32-60% on Securities from incremental deposit inflow



Source: Goldman Sachs Global Investment Research

Exhibit 6: . . . which will drive wealth fee income to grow stronger than group operating income with better margins / ROE, in our view



Source: Company data, Goldman Sachs Global Investment Research

Deposit wave reshaping banks' balance sheet with staying power

Both Hong Kong and Singapore are benefiting from strong liquidity inflow driving meaningful balance sheet expansion. The surge in deposits, with the HK system delivering 11% yoy growth in Oct and 8% yoy in Singapore, reflects a mix of cross-border corporate flows, wealth inflows and a broader shift in regional liquidity preferences, with both markets emerging as preferred destinations for offshore cash. Importantly, we see that these flows are not temporary - they are also supported by structural drivers such as deepened financial linkages with Mainland China and ASEAN, rising regional wealth, the increased use of HK and SG as treasury and investment hubs and uptick in capital market activities. Against this backdrop, banks with strong franchise reach look poised to benefit as balance sheet growth provides a strong lever for earnings. Given these tailwinds we forecast deposit growth of the HK and SG banks in our coverage to remain robust. We forecast deposit growth of 5%/8%/8%/6%/6% for 2026 for HSBC/STAN/DBS/OCBC/UOB, which are generally above their historical 5-year CAGRs.

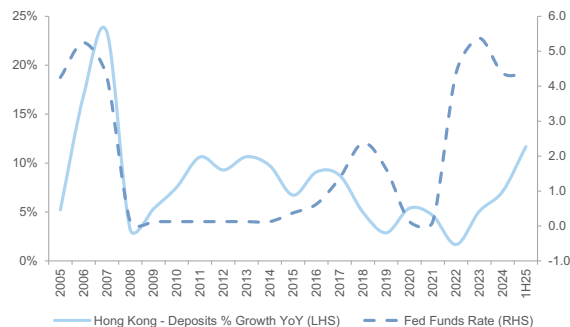
Hong Kong's System deposit growth lifted by multiple factors

The Hong Kong banking system delivered 11% YoY deposit growth in Oct, well above the 20-year average of 8% - a dynamic not seen in previous rate-cutting environments where deposits typically lose appeal. The growth has been USD denominated deposits led with continued inflows into USD time deposits (TDs), while HKD deposits growth was more tepid and within which TD share has fallen along with rates. We believe this is likely driven by FX rotation given USD rates (and thus deposit yields) have not declined as sharply as HIBOR though we note the overall pace of expansion in USD deposits appears too strong to be explained by rate differential alone.

We believe the surge is also driven by several other factors: (1) HK is benefiting from safe-haven demand amid heightened global uncertainties, supporting broad-based inflows; (2) Cross-border capital inflow via corporate flow and retail inflow as shown through the growth in cross-border liabilities of Hong Kong banks rebounding from -5% in 1Q23 to +4% in 2Q25, reverting towards long-term average, driven primarily by stronger liabilities sourced from mainland China; (3) Stronger capital market activities including a rebuilding IPO pipeline and resilient wealth management flows drawing institutional and personal inflows.

Looking ahead, we expect these trends to persist albeit at a more measured pace than the surge witnessed this year. Capital inflows are likely to remain a key driver as detailed below, supported particularly by sustained Mainland to HK liquidity underpinned by resilient corporate treasury activities, steady wealth diversification demand and a more supportive policy and regulatory environment governing cross-border capital mobility between the two markets. Furthermore, we also anticipate other global capital inflows with HK remaining as a fundraising and investment hub with its IPO pipeline remaining robust.

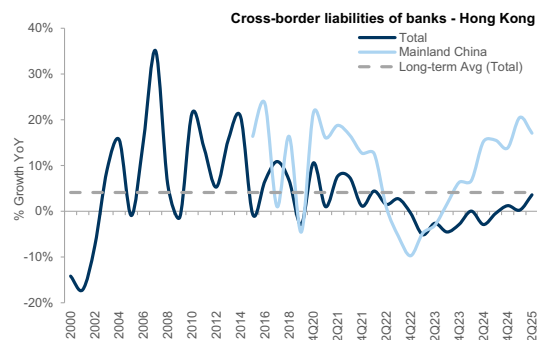
Exhibit 7: Unlike past rate cut cycles, Hong Kong system deposits continue to accelerate



Deposit growth YoY is based on deposits base in US\$ for Hong Kong.

Source: Haver Analytics, Federal Reserve Board, Hong Kong Monetary Authority, CEIC

Exhibit 10: Meanwhile, growth in Cross-border liabilities has accelerated, moving closer to long term avg; Mainland China led growth for Hong Kong



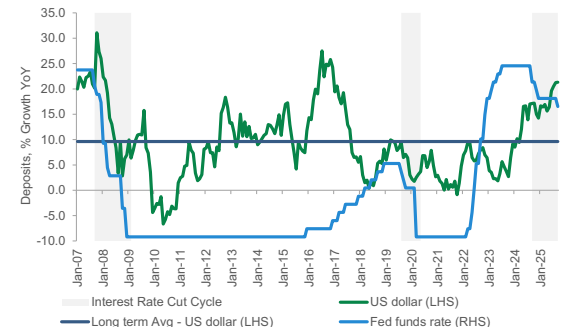
Source: BIS Data Portal

Exhibit 8: USD denominated deposits have outpaced growth in HKD deposits. . .



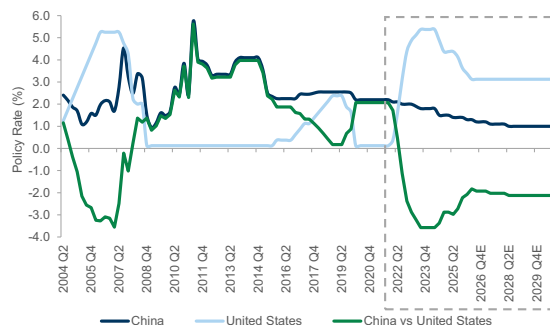
Source: Hong Kong Monetary Authority, CEIC

Exhibit 9: . . . pointing to drivers beyond rate-led shifts from HKD to USD



Source: Hong Kong Monetary Authority, CEIC, Haver Analytics

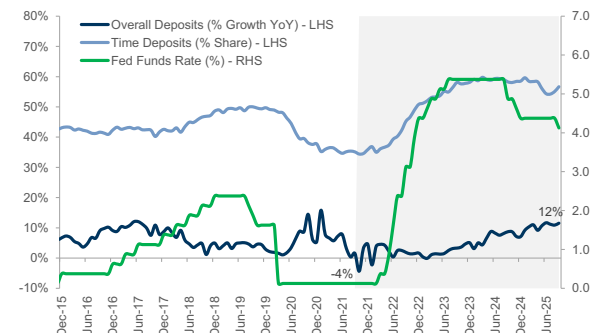
Exhibit 11: Expanded differential between China & US policy rate has helped translate into strong inflow from Mainland Chinese investors; Expected rate-cut variance could help sustain flows



China Policy Rate = 7-day OMO rate, United States Policy Rate = Midpoint of the Federal Funds Target Rate Range

Source: Haver Analytics, People's Bank of China, Federal Reserve Board

Exhibit 12: Consequently, term deposits have gained share despite Fed cuts. . .



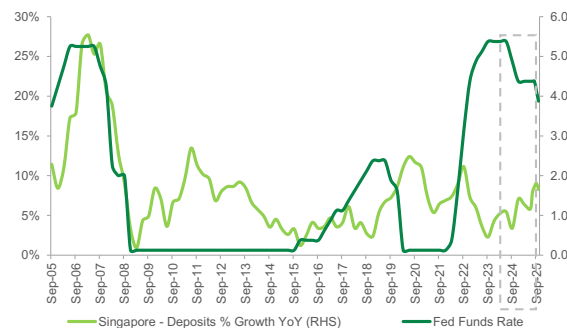
Source: Hong Kong Monetary Authority, Federal Reserve Board, Haver Analytics

Singapore also witnessing broad-based deposit inflow

Singapore's banking industry has delivered strong deposit growth in 2025, reaching +8% YoY by Oct 2025, a significant improvement from 2024's average of +5%, and the 10-year median of +6%, despite declining rates. This was primarily driven by a +10% YoY growth in S\$ deposit, while FX slowed amidst the sharp appreciation of S\$ in 2025. By segments, residents deposits outgrew non-residents, with the latter likely offset by S\$ appreciation. Meanwhile, cross-border liabilities of Singapore banks rose 3% as of 2Q25, a recovery from -5% in 3Q22 (Refer [Exhibit 15](#)), likely supported by flows from Asia.

We believe key drivers for the deposit growth include: 1) Continued capital inflow into Singapore; 2) Retail investors' outflow from T-bills; 3) Strong performance of S\$ against US\$ and other major currencies making S\$ denominated deposits an attractive option. With likely continued capital inflow into Singapore (albeit moderating vs a strong base this year), continued T-bill outflow into deposits and a normalized S\$, we expect Singapore system deposit growth of +7% in 2026, down from the 2025 level but still remain above the 10-year average of 6%. Read our deep-dive on Singapore's banking system deposits [here](#).

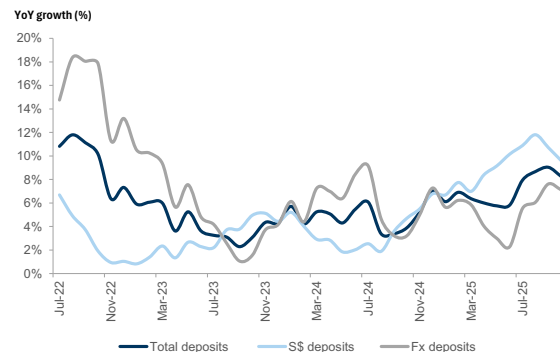
Exhibit 13: Similar to HK, Singapore deposits growth remains resilient despite declining rates



Deposit growth YoY is based on deposits base in S\$ for Singapore.

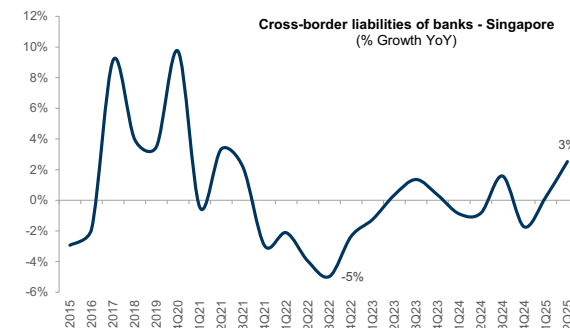
Source: Monetary Authority of Singapore, CEIC

Exhibit 14: S\$ deposits growth outpaced FX deposits, with the latter partly offset by S\$ appreciation



Source: Monetary Authority of Singapore

Exhibit 15: This is also visible in growth acceleration of cross-border liabilities of Singapore, with YoY growth improving from -5% in 3Q22 to +3% in 2Q25



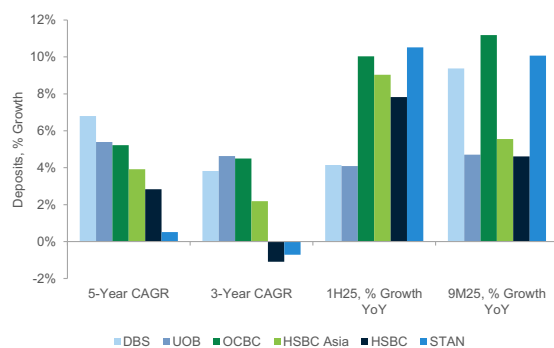
Source: BIS Data Portal

STAN & OCBC top deposit growth among covered banks

Among the HK and SG banks under our coverage, OCBC posted the strongest growth (+11% YoY), followed by STAN (+10%) and DBS (+9%) in 3Q25. STAN, however, saw the strongest uptick with growth accelerating sharply from a 5-yr CAGR of +1% to +10% in 9M25. HSBC and UOB lagged at 5% reflecting their strategic focus on managing LDR and preserving NIM to support NII.

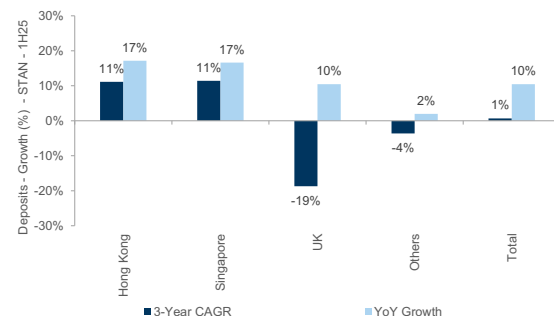
Across most banks, USD denominated deposits were the primary driver of growth. Notably, OCBC captured an outsized share, with USD accounting for 46% of the increase (Read our deep-dive on Singapore banks [here](#)). This likely reflects both higher USD deposit yields relative to HKD /SGD and banks' ability to attract cross-border inflows. For STAN/HSBC, retail and wealth deposits contributed meaningfully, with wealth deposits rising 20%/11% for STAN/HSBC vs group growth of 11%/8% as of 2Q25, highlighting the role of affluent client inflow in supporting deposit growth.

Exhibit 16: Banks in our coverage have witnessed deposit growth accelerating in 1H25 and into 9M25



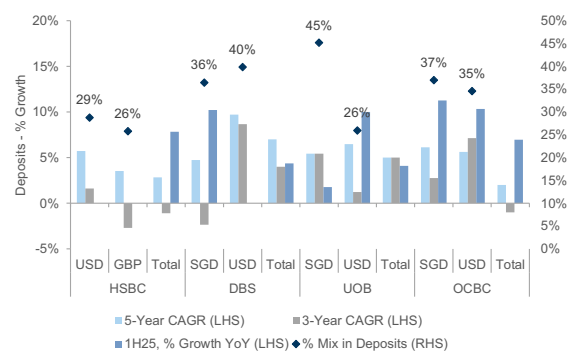
Source: Company data

Exhibit 19: STAN saw HK / Singapore driving growth uptick YoY



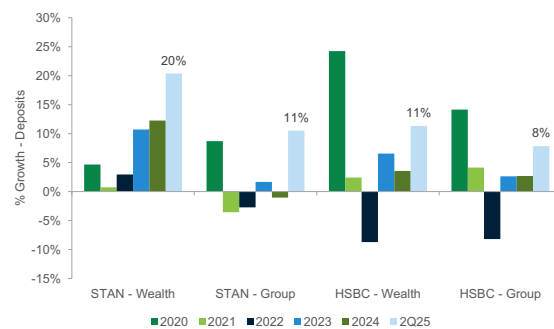
Source: Company data

Exhibit 17: This was led by USD deposits growth for HSBC; and broadbased for DBS / OCBC, with USD deposits for the latter likely affected by S\$ appreciation; UOB prioritized LDR management over deposit growth



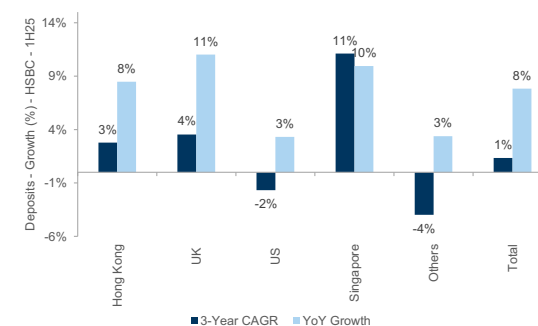
Source: Company data

Exhibit 20: Both HSBC and STAN have garnered strong retail inflow, with growth in wealth deposits surpassing overall growth



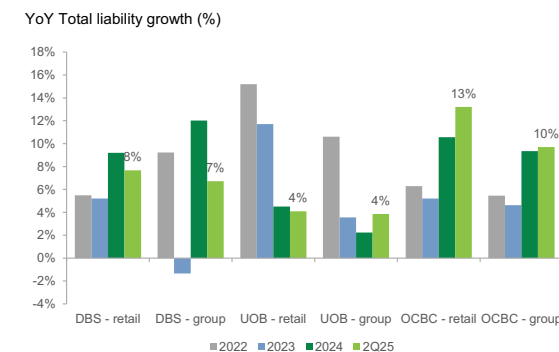
Source: Company data

Exhibit 18: HSBC's key markets - Hong Kong and UK - led to an acceleration in deposit growth for the bank; However, deposits for HK business slowed down a bit in 9M



Source: Company data

Exhibit 21: DBS/OCBC saw a similar trend with retail growth stronger than group



Source: Company data

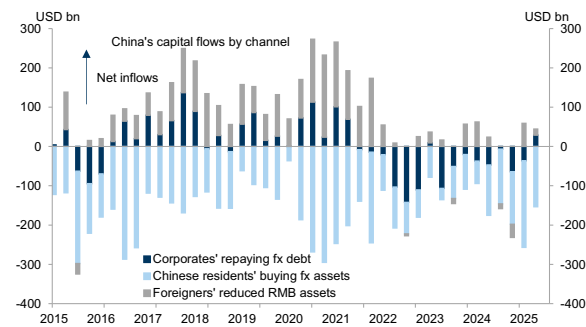
Liability inflows sustainable supported by more structural cross-border flows

As noted above, cross-border flows have supported strong deposits in Hong Kong and Singapore which we believe are likely to persist with some being more structural with policy trends that make them likely to continue over the medium term, such as:

1. **Rate differentials** to sustain deposit inflows as corporates and wealth clients seek higher yields, with our economist expecting interest rate differentials between US/HK and CNY to persist (see [Exhibit 11](#)).
2. **Corporate treasury flows** with HK and Singapore serving as regional treasury hubs where corporates will hold deposits for trade settlement, FX management and liquidity purposes given HK and SG offers deep FX markets, multi currency account structures and efficient cross-border cash pooling.
3. **Wealth diversification** driving offshore inflows with high cash holding among Mainland Chinese households, combined with structural weakness in the onshore property markets are creating opportunities for redeployment of savings into onshore financial assets. Already we are seeing Mainland Chinese investors allocating a growing share of their assets to foreign currency deposits and wealth products - with outflows from Chinese residents' purchase of FX assets ([Exhibit 22](#)) accelerating in 2024-2025, with Hong Kong already accounting for over half of mainland China's overseas equity investments and 18% of debt portfolio investments in 1H24 (as per Bloomberg Intelligence). China's southbound activity through Stock connect, Mutual recognition of funds, and Wealth Management Connect saw a sharp increase in 2024, driven by stronger retail interest in Hong Kong and gradual regulatory easing ([Exhibit 23](#)).
4. **Immigration** led liquidity inflows in HK have also supported with visa issuances nearly doubled in 2024 vs 2022 (vs population CAGR of 1%), with the Top talent scheme - with 95% mainland applicants - now comprising c.40% of key visa issuances in 1H25 ([Exhibit 24](#)).
5. **Regulatory easing of Mainland China-Hong Kong Connect programs** such as Stock Connect, Mutual Recognition of Funds (MRF), and Wealth Management Connect. Stock Connect, the oldest and largest Connect program launched in 2014, has undergone meaningful regulatory enrichment over the last decade, including the introduction of Shenzhen-Hong Kong Connect, removal of aggregate quotas, expansion of eligible products (ETFs, and more recently REITs and RMB counters on the Southbound leg), and the rollout of complementary channels such as Bond Connect and Swap Connect. Likewise, both MRF and Wealth Management Connect have seen progressive relaxation of eligibility criteria for products, fund managers, investor types, and permitted distribution arrangements, widening the scope of cross-border wealth products available to ML Chinese retail investors. Further expansion of the product ecosystem and continued operational streamlining could unlock deeper investor participation, particularly from Mainland investors allocating to Hong Kong.
6. **Uptick in capital markets activities** with improved secondary market turnover and a steadily rebuilding IPO pipeline. We expect pre-IPO funding, subscription flows and post listing capital recycling to bring in incremental liquidity.

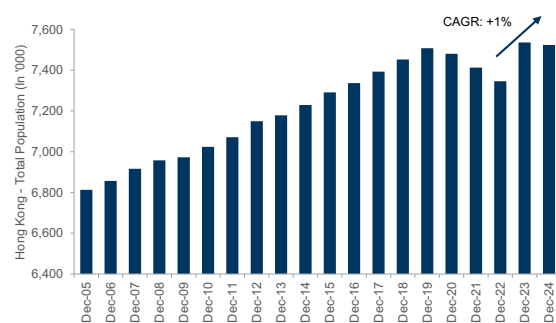
Overall, given these tailwinds we forecast deposit growth of the HK and SG banks in our coverage to remain robust. We forecast deposit growth of 5%/8%/8%/6%/6% for 2026 for HSBC/STAN/DBS/OCBC/UOB, which are generally above their historical 5-year CAGRs.

Exhibit 22: Chinese residents' ownership of FX assets has accelerated in 2025...



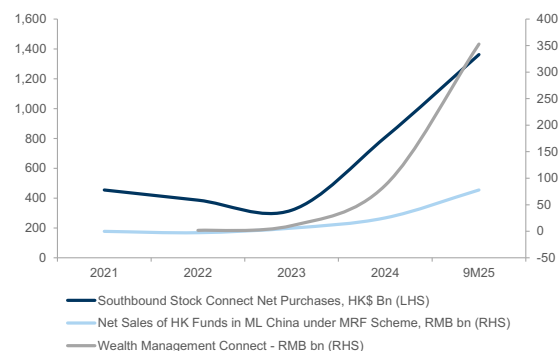
Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 25: ... while overall population growth has been muted



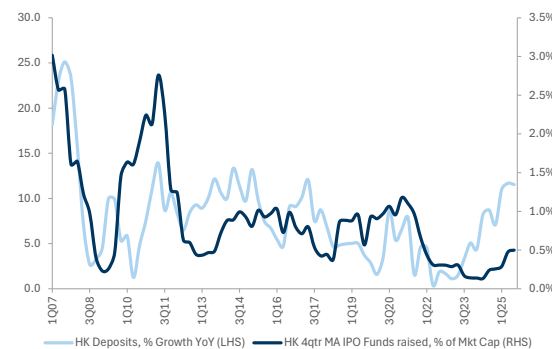
Source: Bloomberg

Exhibit 23: ... with strong retail interest in Hong Kong



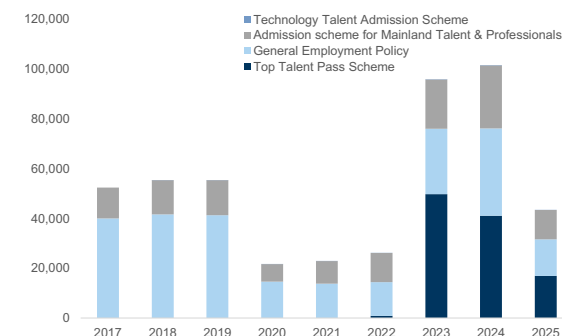
Source: Hong Kong Monetary Authority, Securities and Futures Commission

Exhibit 26: HK has been witnessing an uptick in capital markets activities with improved secondary market turnover and a steadily rebuilding IPO pipeline



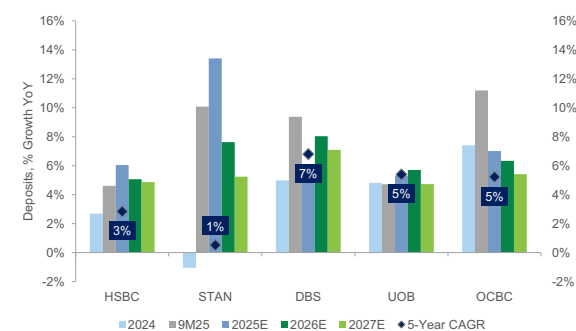
Source: Hong Kong Exchange, Hong Kong Monetary Authority, CEIC

Exhibit 24: Moreover, Hong Kong continues to witness expansion in high-quality immigrant population, particularly from Mainland China...



Source: Hong Kong Immigration Department

Exhibit 27: We expect the above tailwinds to persist; therefore, model deposit growth of players in our coverage to be higher-than-5-yr avg in 2026 / 2027 on aggregate



Source: Company data, Goldman Sachs Global Investment Research

Driving NII growth with high ROEs; banks with strong deposit franchise and nimble B/S management stand out

Balance sheet and deposit growth in particular have emerged as a key earnings' driver for banks in an interest rate cutting cycle. While falling interest rates put pressure on banks' earnings, incremental deposit growth even if not deployed into loans can be deployed into securities, which can help offset pressure or even lift NII. Crucially, these activities carry a low risk weighting, making the strategy highly ROE accretive and scalable given limited capital consumption.

For the HK and SG banks, on NII performance, DBS leads the way with +4% yoy growth in 1H25, which we attribute to proactive balance sheet management including strong deposit growth and leveraging of debt and interbank securities, and superior repricing execution. STAN follows behind with +3% yoy growth supported by strong deposit growth and deployment into securities.

To quantify the impact, we map out the earnings dynamic of this strategy. Our illustrative analysis shows that a 1ppt increase in deposits could add 0.2%-0.4% of operating income from deploying these excess deposits into securities ("gapping"). While earnings contribution is low, it is highly ROE accretive given these activities have low risk weights. ROE from gapping in our analysis is around 32%-60% ([Exhibit 65](#)). This allows for scalable growth with limited capital consumption. We also conduct a scenario analysis across the banks to assess earnings and ROE sensitivity under varying assumptions for deposit growth and investment spreads.

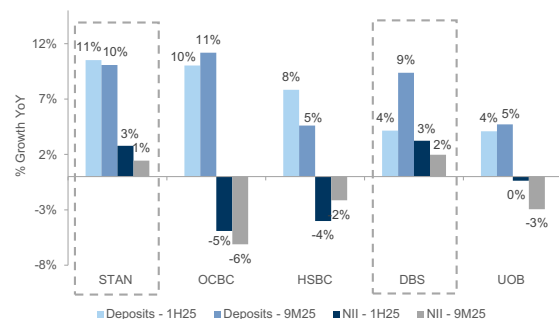
Volume growth & disciplined pricing helped DBS and STAN cushion NII pressure

Despite the falling rate environment, some banks under our coverage have delivered rising NII. We see strong deposit growth playing a role in this delivery as banks deploy the excess liquidity into investment assets boosting NII. That said, we acknowledge that effective repricing of deposit and loans is also a key differentiator for NII management. Among the banks, DBS and STAN were the clear outliers, with best-in-class volume execution and rate management, posting +4% / +3% NII growth in 1H25 (See [Exhibit 30](#)). We expect the 2 banks to sustain their robust performance and to deliver +2% / +1% NII growth in 2026E, underpinned by robust deposit growth and mitigated margin compression as we are nearing the end of the rate cut cycle, per our economists' view.

- **DBS** delivered +4% YoY NII growth in 1H25, outperforming peers underpinned by solid deposit growth and proactive balance sheet management including use of debt and inter-bank securities to expand interest-earning assets and redeploy surplus liquidity into investments.
- **STAN's** NII rose +3% YoY in 1H25 supported by a +3% volume-driven uplift from prudent deployment of excess deposits to investments. Impact from rate, however, was neutral with headwinds from rate-led repricing of loans and investments mitigated fully by effective deposit repricing.

- **HSBC** saw a slight decline in NII at -4% yoy with slower deposit growth and investments-led balance sheet expansion supporting volume-led NII growth of +5%, but rapid repricing of its asset base dragged NII growth by 9pp.
- **UOB** saw flat NII in 1H25 driven by rate-led drag while leaning more heavily on loan growth.
- **OCBC** experienced a sharper decline in NII at -4% yoy despite pursuing a DBS-like balance sheet expansion strategy, growing both securities and investments portfolios, as slower deposit repricing and faster downward repricing of loans weighed on NII.

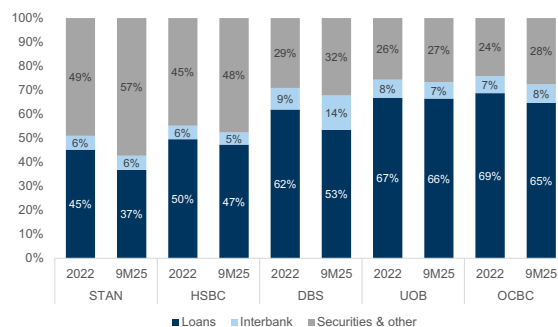
Exhibit 28: STAN and DBS have delivered healthy NII growth despite rate-cut backdrop & slower credit growth. . .



Above data represents banking/underlying NII for HSBC/STAN respectively.

Source: Company data

Exhibit 29: . . . driven by prudent allocation of excess deposit inflow towards investments securities. . .



Source: Company data

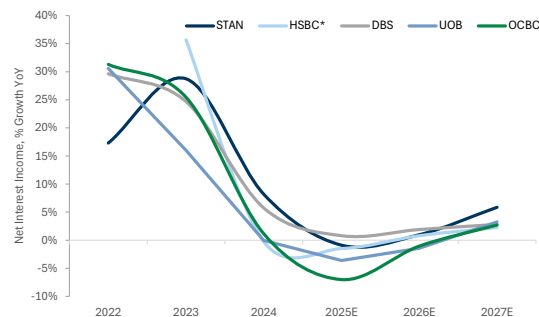
Exhibit 30: . . . as well as effective rate management

1H25 vs 1H24	% of base NII				
Volume	HSBC	STAN	DBS	UOB	OCBC
Customer loans	4%	3%	2%	9%	10%
Investments & Other	9%	19%	9%	0%	6%
Customer deposits	-9%	-18%	-4%	-4%	-9%
Other Interest Bearing Liabilities	1%	-1%	-4%	-2%	-1%
Impact	5%	3%	4%	3%	6%
Rate					
Customer loans	-13%	-21%	-16%	-22%	-24%
Investments & Other	-33%	-28%	-7%	-5%	-8%
Customer deposits	22%	42%	20%	20%	17%
Other Interest Bearing Liabilities	14%	6%	3%	4%	4%
Impact	-9%	0%	0%	-2%	-10%
Total Impact	-4%	3%	4%	0%	-4%

We have excluded NII growth accounting from difference in day count in the above analysis

Source: Company data, Goldman Sachs Global Investment Research

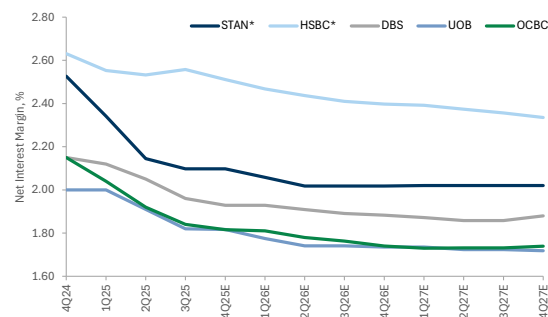
Exhibit 31: We expect NII growth to turn positive for HSBC/STAN/DBS in 2026E ...



*Banking NII for HSBC

Source: Company data, Goldman Sachs Global Investment Research

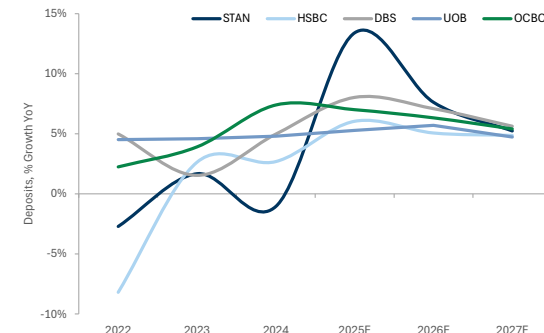
Exhibit 32: ... supported by much moderated decline in NIM as we are nearing the end of rate cut cycle ...



*For HSBC and STAN, NIM is GSe as NII/avg. customer accounts

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 33: ... and robust deposit growth



Source: Company data, Goldman Sachs Global Investment Research

Earnings leverage from low-risk weights augmenting ROE even as NIMs softens

Our indicative DuPont analysis for excess deposit deployment into securities highlights substantial ROE uplift potential with ROEs of up to 32-60% versus group ROEs of 11-18% on our analysis. We assume deposits will be deployed into liquid highly rated assets with low risk weights.

To further quantify this, we look at the upside potential on banks earnings and profitability from capturing deposit growth. Our analysis shows that for a 5ppt additional deposit growth, average differential of deposit growth and loan growth for 2025/26 for HSBC, STAN and DBS, which are more active in this strategy, shows operating income accretion of 1.9%/2.0%/1.3% and ROE accretion of 26/24/16bps.

As such, we believe the ability capture this current liquidity inflow wave can be a key differentiator for ROE in this cycle. We believe banks with stronger liability franchise and those with strong cross-border expertise especially to Mainland China where we see strong sustainable flows are better positioned such as HSBC/STAN/DBS/OCBC and to a lesser extent UOB.

Exhibit 34: Our analysis suggests that Asian banks in our coverage could potentially make ROEs in the range of c.30-60% on Securities from incremental deposit inflow

Indicative DuPont Analysis - Asia Banks

	STAN		HSBC		DBS		UOB		OCBC	
	Group (2024)	Securities	Group (2024)	Securities	Group (2024)	Securities	Group (2024)	Securities	Group (2024)	Securities
Security Yield				3.9%		3.6%		3.6%		3.6%
Deposit cost				2.3%		2.5%		2.9%		2.8%
NIM	1.3%	1.6%	1.5%	1.6%	1.8%	1.1%	1.8%	0.6%	1.6%	0.7%
Fees/Asset	1.0%	0.0%	0.8%	0.0%	1.0%	0.0%	0.9%	0.0%	0.8%	0.0%
Cost/Asset	1.4%	1.0%	1.1%	0.8%	1.1%	0.4%	1.1%	0.3%	1.0%	0.3%
Provision/ Asset	0.1%	0.0%	0.1%	0.0%	0.1%	0.0%	0.2%	0.0%	0.1%	0.0%
Tax Rate	0.4%	0.2%	0.2%	0.2%	0.2%	0.1%	0.2%	0.1%	0.1%	0.1%
ROA	0.5%	0.5%	0.8%	0.6%	1.5%	0.6%	1.2%	0.3%	1.3%	0.3%
Risk Weight	29.5%	7.0%	29.4%	7.0%	46.0%	7.0%	50.5%	7.0%	39.2%	7.0%
RoRWA	1.7%	6.6%	2.8%	8.6%	3.2%	8.0%	2.3%	4.5%	3.2%	4.7%
CET1 / Leverage	14.9%	13.5%	19.0%	14.3%	17.5%	13.5%	16.9%	14.0%	23.4%	14.5%
ROE	11.1%	49.0%	14.8%	60.1%	18.1%	59.0%	13.5%	32.0%	13.7%	32.6%

Source: Goldman Sachs Global Investment Research

Exhibit 35: Our analysis suggests potential upside in the range of 20bps-40bps to our 2026E operating income estimates for banks in our coverage on 1% incremental deployment of deposits to securities

Sensitivity analysis: Impact on operating income from allocating an incremental 1% deposits to securities.												
	STAN				HSBC							
Metrics												
Deposits (2025E)	526,773				1,754,967							
Assuming 1% increase in Deposits (2025E)	5,268				17,550							
Operating Income 2026 (mn)	21,761				72,038							
	Increase in Balance	Yield (%)	Incremental Income	Upside to Op. Income	Increase in Balance	Yield (%)	Incremental Income	Upside to Op. Income				
Deployed to Securities												
Investments	5,268				17,550	3.9%	683	0.9%				
Deposits	5,268				17,550	2.3%	402	-0.6%				
Total	5,268	1.3%	70	0.3%	17,550	1.6%	281	0.4%				

	DBS				UOB				OCBC			
Metrics												
Deposits (2025E)	606,853				425,304				418,065			
Assuming 1% increase in Deposits (2025E)	6,069				4,253				4,181			
Operating Income 2026 (mn)	24,100				14,071				14,365			
	Increase in Balance	Yield (%)	Incremental Income	Upside to Op. Income	Increase in Balance	Yield (%)	Incremental Income	Upside to Op. Income	Increase in Balance	Yield (%)	Incremental Income	Upside to Op. Income
Deployed to Securities												
Investments	6,069	3.6%	216	0.9%	4,253	3.6%	151	1.1%	4,181	3.6%	149	1.0%
Deposits	6,069	2.5%	152	-0.6%	4,253	2.9%	125	-0.9%	4,181	2.8%	119	-0.8%
Total	6,069	1.1%	64	0.3%	4,253	0.6%	27	0.2%	4,181	0.7%	30	0.2%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 36: Earnings and ROE accretion potential from deposit growth

HSBC								
Operating Income uplift if all is placed in securities								
Deposit growth								
	1.0%	2.0%	4.0%	5.0%	6.0%	8.0%	10.0%	
Spread	1.0%	0.2%	0.5%	1.0%	1.2%	1.5%	1.9%	2.4%
	1.2%	0.3%	0.6%	1.2%	1.5%	1.8%	2.3%	2.9%
	1.4%	0.3%	0.7%	1.4%	1.7%	2.0%	2.7%	3.4%
	1.6%	0.4%	0.8%	1.6%	1.9%	2.3%	3.1%	3.9%
	1.8%	0.4%	0.9%	1.8%	2.2%	2.6%	3.5%	4.4%
	2.0%	0.5%	1.0%	1.9%	2.4%	2.9%	3.9%	4.9%
	2.2%	0.5%	1.1%	2.1%	2.7%	3.2%	4.3%	5.4%

STAN								
Operating Income uplift if all is placed in securities								
Deposit growth								
	1.0%	2.0%	4.0%	5.0%	6.0%	8.0%	10.0%	
Spread	1.0%	0.2%	0.5%	1.0%	1.2%	1.5%	2.0%	2.5%
	1.2%	0.3%	0.6%	1.2%	1.5%	1.8%	2.4%	2.9%
	1.4%	0.3%	0.7%	1.4%	1.7%	2.1%	2.7%	3.4%
	1.6%	0.4%	0.8%	1.6%	2.0%	2.4%	3.1%	3.9%
	1.8%	0.4%	0.9%	1.8%	2.2%	2.7%	3.5%	4.4%
	2.0%	0.5%	1.0%	2.0%	2.5%	2.9%	3.9%	4.9%
	2.2%	0.5%	1.1%	2.2%	2.7%	3.2%	4.3%	5.4%

ROE uplift if all is placed in securities								
Deposit growth								
	1.0%	2.0%	4.0%	5.0%	6.0%	8.0%	10.0%	
Spread	1.0%	3bps	5bps	11bps	13bps	16bps	21bps	27bps
	1.2%	4bps	7bps	14bps	18bps	21bps	28bps	35bps
	1.4%	4bps	9bps	18bps	22bps	26bps	35bps	44bps
	1.6%	5bps	11bps	21bps	26bps	32bps	42bps	53bps
	1.8%	6bps	12bps	25bps	31bps	37bps	49bps	61bps
	2.0%	7bps	14bps	28bps	35bps	42bps	56bps	70bps
	2.2%	8bps	16bps	32bps	40bps	47bps	63bps	79bps

ROE uplift if all is placed in securities								
Deposit growth								
	1.0%	2.0%	4.0%	5.0%	6.0%	8.0%	10.0%	
Spread	1.0%	2bps	5bps	10bps	12bps	14bps	19bps	24bps
	1.2%	3bps	6bps	13bps	16bps	19bps	25bps	32bps
	1.4%	4bps	8bps	16bps	20bps	24bps	32bps	40bps
	1.6%	5bps	10bps	19bps	24bps	29bps	38bps	48bps
	1.8%	6bps	11bps	22bps	28bps	33bps	44bps	55bps
	2.0%	6bps	13bps	26bps	32bps	38bps	51bps	63bps
	2.2%	7bps	14bps	29bps	36bps	43bps	57bps	71bps

DBS								
Operating Income uplift if all is placed in securities								
Deposit growth								
	1.0%	2.0%	4.0%	5.0%	6.0%	8.0%	10.0%	
Spread	0.8%	0.2%	0.4%	0.8%	0.9%	1.1%	1.5%	1.9%
	0.9%	0.2%	0.4%	0.9%	1.1%	1.3%	1.7%	2.1%
	1.0%	0.2%	0.5%	1.0%	1.2%	1.4%	1.9%	2.4%
	1.1%	0.3%	0.5%	1.1%	1.3%	1.6%	2.1%	2.6%
	1.2%	0.3%	0.6%	1.2%	1.4%	1.7%	2.3%	2.9%
	1.3%	0.3%	0.6%	1.3%	1.6%	1.9%	2.5%	3.1%
	1.4%	0.3%	0.7%	1.4%	1.7%	2.0%	2.7%	3.4%

OCBC								
Operating Income uplift if all is placed in securities								
Deposit growth								
	1.0%	2.0%	4.0%	5.0%	6.0%	8.0%	10.0%	
Spread	0.4%	0.1%	0.2%	0.5%	0.6%	0.7%	1.0%	1.2%
	0.5%	0.2%	0.3%	0.6%	0.8%	0.9%	1.2%	1.5%
	0.6%	0.2%	0.4%	0.7%	0.9%	1.1%	1.4%	1.8%
	0.7%	0.2%	0.4%	0.8%	1.0%	1.3%	1.7%	2.1%
	0.8%	0.2%	0.5%	1.0%	1.2%	1.4%	1.9%	2.4%
	0.9%	0.3%	0.5%	1.1%	1.3%	1.6%	2.1%	2.7%
	1.0%	0.3%	0.6%	1.2%	1.5%	1.8%	2.4%	3.0%

UOB								
Operating Income uplift if all is placed in securities								
Deposit growth								
	1.0%	2.0%	4.0%	5.0%	6.0%	8.0%	10.0%	
Spread	0.3%	0.1%	0.2%	0.4%	0.5%	0.6%	0.8%	1.0%
	0.4%	0.1%	0.3%	0.5%	0.6%	0.8%	1.0%	1.3%
	0.5%	0.2%	0.3%	0.6%	0.8%	1.0%	1.3%	1.6%
	0.6%	0.2%	0.4%	0.8%	1.0%	1.1%	1.5%	1.9%
	0.7%	0.2%	0.4%	0.9%	1.1%	1.3%	1.8%	2.2%
	0.8%	0.3%	0.5%	1.0%	1.3%	1.5%	2.0%	2.5%
	0.9%	0.3%	0.6%	1.1%	1.4%	1.7%	2.2%	2.8%

ROE uplift if all is placed in securities								
Deposit growth								
	1.0%	2.0%	4.0%	5.0%	6.0%	8.0%	10.0%	
Spread	0.8%	2bps	4bps	8bps	10bps	12bps	15bps	19bps
	0.9%	2bps	5bps	10bps	12bps	14bps	19bps	24bps
	1.0%	3bps	6bps	11bps	14bps	17bps	22bps	28bps
	1.1%	3bps	7bps	13bps	16bps	20bps	26bps	32bps
	1.2%	4bps	7bps	15bps	19bps	22bps	30bps	37bps
	1.3%	4bps	8bps	17bps	21bps	25bps	33bps	41bps
	1.4%	5bps	9bps	18bps	23bps	28bps	37bps	46bps

ROE uplift if all is placed in securities								
Deposit growth								
	1.0%	2.0%	4.0%	5.0%	6.0%	8.0%	10.0%	
Spread	0.4%	1bps	1bps	2bps	3bps	3bps	5bps	6bps
	0.5%	1bps	2bps	4bps	5bps	5bps	7bps	9bps
	0.6%	1bps	3bps	5bps	6bps	8bps	10bps	12bps
	0.7%	2bps	3bps	6bps	8bps	10bps	13bps	16bps
	0.8%	2bps	4bps	8bps	10bps	12bps	15bps	19bps
	0.9%	2bps	5bps	9bps	11bps	14bps	18bps	23bps
	1.0%	3bps	5bps	10bps	13bps	16bps	21bps	26bps

ROE uplift if all is placed in securities								
Deposit growth								
	1.0%	2.0%	4.0%	5.0%	6.0%	8.0%	10.0%	
Spread	0.3%	0bps	1bps	1bps	2bps	2bps	3bps	3bps
	0.4%	1bps	1bps	3bps	4bps	4bps	6bps	7bps
	0.5%	1bps	2bps	5bps	6bps	7bps	9bps	11bps
	0.6%	2bps	3bps	6bps	8bps	9bps	12bps	15bps
	0.7%	2bps	4bps	8bps	10bps	12bps	15bps	19bps
	0.8%	2bps	5bps	9bps	12bps	14bps	19bps	23bps
	0.9%	3bps	5bps	11bps	14bps	16bps	22bps	27bps

Source: Goldman Sachs Global Investment Research

Wealth wave the other growth engine as Asia affluence accelerates; those with HK/SG exposure best positioned

Asia has emerged as one of the top drivers of wealth growth globally, with 11% growth in 2024 vs global at 8% according to BCG, and expectations to outpace other regions in the next five years. Within Asia, Hong Kong and Singapore remain primary beneficiaries of rising affluence in Asia from cross-border wealth flows, with both hubs outpacing larger global wealth centers. Banks within our coverage in HK/SG have been benefiting with STAN delivering the highest wealth AUM growth at 14% in 1H25 YTD followed by HSBC at 9% with the strongest net new money inflows seen from STAN and DBS. Additionally, banks in our coverage lead on profitability, with stronger fee yields than global peers on AUM in 2024. We see this reflecting a more active and risk-taking client profile with higher focus on higher yielding affluent and rising affluent segments. We believe wealth flows are structural as the Asia wealth pool deepens, cross-border flows accelerate and gradual Mainland China regulatory easing support inflows as it remains a swing factor with 62% of household financial assets in cash, which could potentially unlock a US\$7-10tn TAM for global players as Chinese households moves their allocation of assets closer to that of households in HK/SG. Banks with stronger HK/SG wealth franchises are best positioned to deliver sustained wealth income growth, providing a durable tailwind to earnings, in our view.

Asia spearheads the next leg of global financial wealth expansion

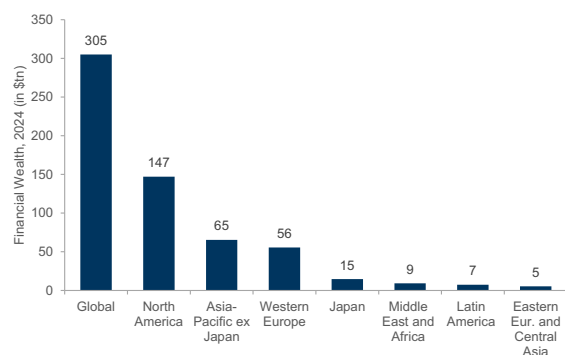
Global financial wealth grew 8% in 2024 to US\$305bn, as per BCG. Within this, North America and Asia Pacific led with 15% and 11% growth in local currency ([Exhibit 39](#)), respectively. Asia Pacific financial wealth accounted for 21% of total global wealth in 2024, up from the 6% level 25 years back. The underlying drivers, however, differed: North America's expansion was predominantly market-led (S&P 500 up +23% YoY in 2024), whereas Asia Pacific's strength reflected both market gains and sustained organic inflow. Asia is expected to remain the top driver of wealth growth at 9% CAGR in 2024-2029 vs global at 6%, according to BCG. We see this likely reflecting: (1) Structurally stronger macro backdrop in Asia with Asia delivering higher GDP than the global average, (2) Rapidly expanding middle class, (3) Young, growing and urbanizing population, (4) High savings and investment culture and (5) Ongoing financialisation of savings across cash-rich Asian economies.

Within Asia, Hong Kong and Singapore remain the primary beneficiaries of rising affluence in Asia and for cross-border wealth flows, with both hubs outpacing larger global centers. Hong Kong is the second-largest wealth hub followed by Singapore in the world just behind Switzerland ([Exhibit 43](#)). Hong Kong continues to serve as the critical gateway for Mainland Chinese wealth, while Singapore attracts a more diversified mix of Asian and global clients seeking exposure to Asia's growth, supported by its politically neutral stance and tax-friendly regime. We expect these dynamics for Hong Kong and Singapore as wealth hubs to persist.

Among Asia, one region in which we see as a major driver for wealth inflows into Hong Kong and Singapore is from Mainland China, given its dominance of household assets by size at US\$36tn ([Exhibit 44](#)). With Chinese households holding 62% of

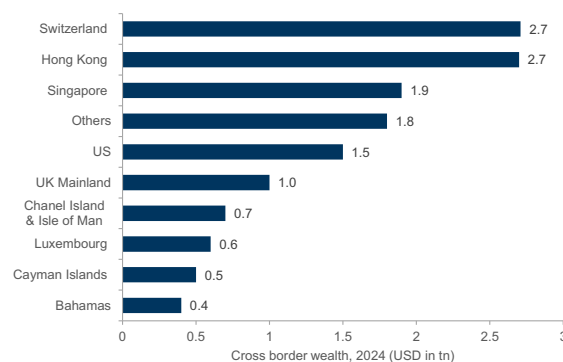
financial assets in deposits and cash (2024), a gradual shift towards Hong Kong's 44% or Singapore's 34% levels over time could unlock a potential TAM of US\$7-10tn for both regional (HK/SG) players and global players. Additionally, with our GS economics team expecting continued weakness in the property market and expecting rate differentials between Mainland China and HK/SG to remain, we believe Mainland China will continue to contribute meaningfully to wealth inflows as wealth investors look for alternative higher yielding assets to invest. Moreover, a more supportive policy and regulatory environment governing cross-border capital mobility between Mainland China and Hong Kong in particular could further aid cross-border flow in the wealth hub.

Exhibit 37: Asia Pacific contributed to 21% of Global financial wealth in 2024, following North America which houses half of the global wealth pool



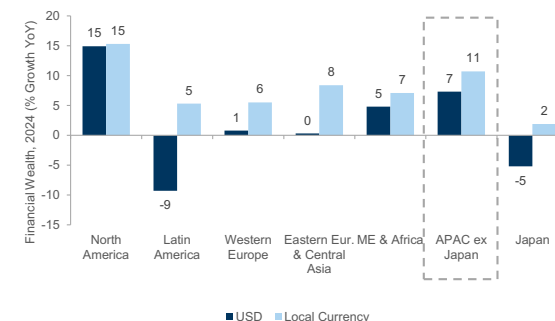
Source: BCG Global Wealth Report 2025

Exhibit 38: Hong Kong and Singapore among the top three largest wealth hubs in the world, behind Switzerland



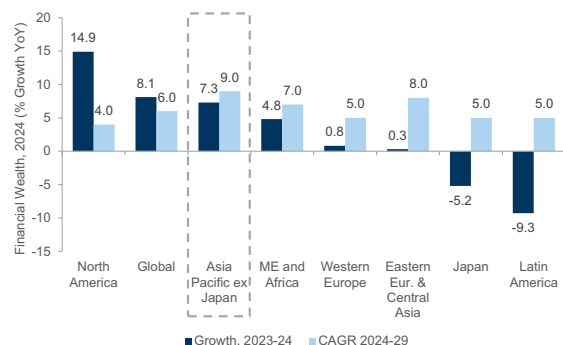
Source: BCG Global Wealth Report 2025

Exhibit 39: North America and APAC led financial wealth growth in 2024 though Asia Pacific's strength reflected both market gains and sustained organic inflow vs market-led growth for North America



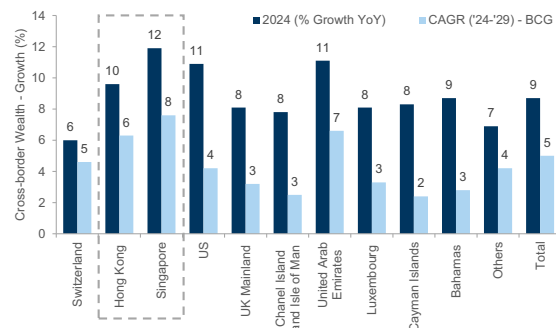
Source: BCG Global Wealth Report 2025

Exhibit 40: BCG expects Asia Pacific to lead the expansion in global financial wealth between 2024-29...



Source: BCG Global Wealth Report 2025

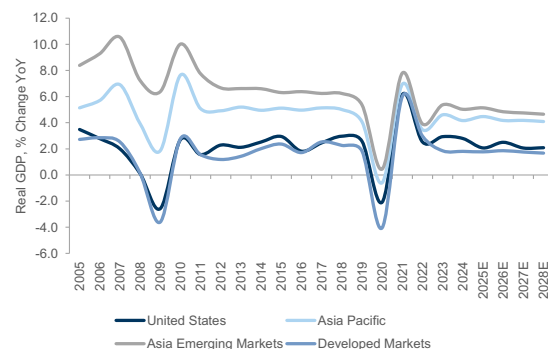
Exhibit 43: Therefore, Hong Kong and Singapore are well positioned to benefit with high exposure to cross-border wealth flows in Asia



CAGR for 2024-29 in cross-border wealth for above centers is based on BCG estimates. The hubs are listed in order of cross-border wealth managed.

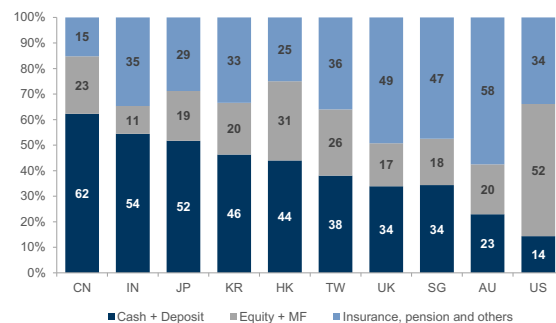
Source: BCG Global Wealth Report 2025

Exhibit 41: ... led by a superior growth outlook for Asia...



Source: Haver Analytics, Goldman Sachs Global Investment Research

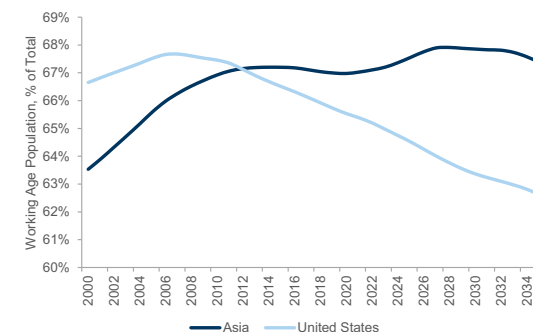
Exhibit 44: Cash & deposit share as a % of household financial assets highest in Mainland China / India vs global peers; Potential for wealth outflow...



1) Data for India is GSe as of Mar-2025. 2) Data for Taiwan and Hong Kong is as of Dec-2023,

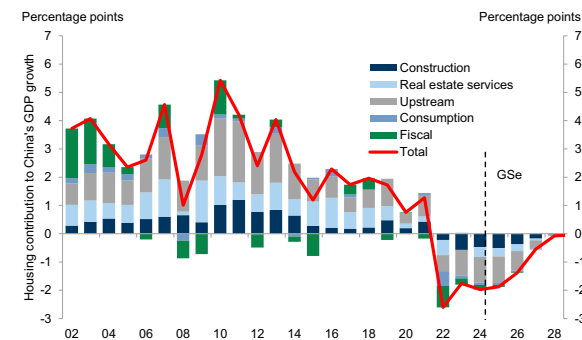
Source: NFID, CEIC, Wind, China Wealth, China Trust Association, Japan Cabinet Office, RBI, Goldman Sachs Global Investment Research

Exhibit 42: ... partly driven by favorable demographics in Asia



Source: Haver Analytics

Exhibit 45: ... especially as Mainland China property market is expected to drag the country's GDP growth, even with an improvement



Source: NBS, Goldman Sachs Global Investment Research

STAN and DBS lead in market share gains; HSBC continues to hold dominant position

Across HK/SG banks in our coverage, STAN delivered the strongest 1H25 Wealth AUM growth vs 2024 (+14%), followed by HSBC (+9%), while Singapore banks posted low-mid single-digit growth - though off a strong base for DBS after a +20%

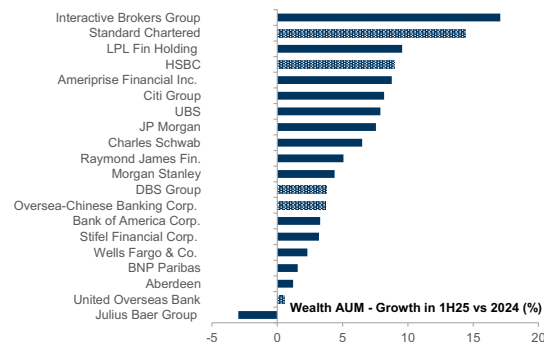
CAGR in Wealth AUM over 2022-24. Among the out-performers, STAN and DBS benefited from robust net-new-money inflows supported by deeper deposit penetration, while HSBC's uplift was largely market-linked. Consequently, AUM growth for both STAN and DBS outpaced MSCI World Index over 2024-25.

Despite varying growth outcomes, all three Singapore banks and STAN gained share of Asia's fast-expanding financial-wealth pool. HSBC's historical share is not disclosed, but its franchise remains dominant with a 1.6% market share in 2024 (Refer [Exhibit 50](#)).

Our wealth product mapping shows HSBC having the largest footprint globally while STAN has materially strengthened its proposition in the past two years, narrowing the gap with HSBC and DBS with the latter at #3 position in private banking, operating an open-architecture model with a targeted focus on HK and SG. (Refer [Exhibit 53](#))

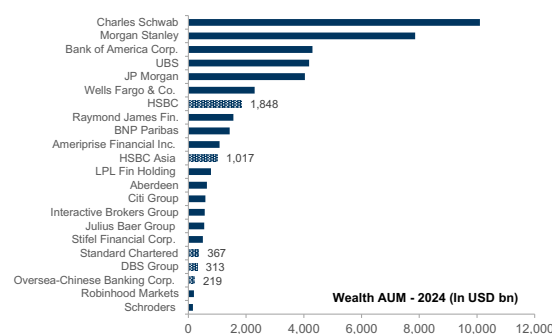
As Asia is anticipated to anchor the next leg of global financial-wealth expansion, in our view, we expect Hong Kong and Singapore to be key beneficiaries given their established positions as regional wealth hubs. Banks with stronger HK/SG exposure are therefore best-positioned to capture this trend, in our view. Additionally, HSBC/STAN also stand to benefit from rising wealth in UAE, another structurally high-growth albeit smaller wealth hub alongside HK/SG (Refer [Exhibit 52](#)).

Exhibit 46: Among the banks in our coverage, STAN / HSBC led growth in managed wealth in 1H25...



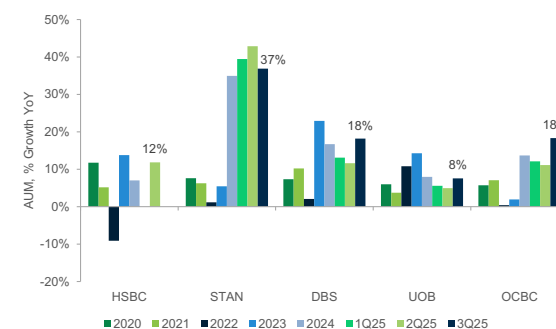
Source: Company data

Exhibit 47: ... albeit off a smaller base vs global peers



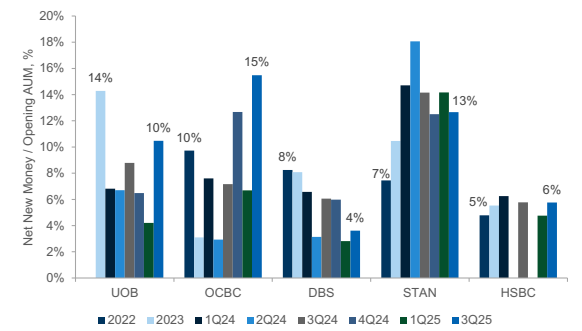
Source: Company data

Exhibit 48: STAN's wealth AUM growth outpaced HK/SG peers in 2024-25YTD...



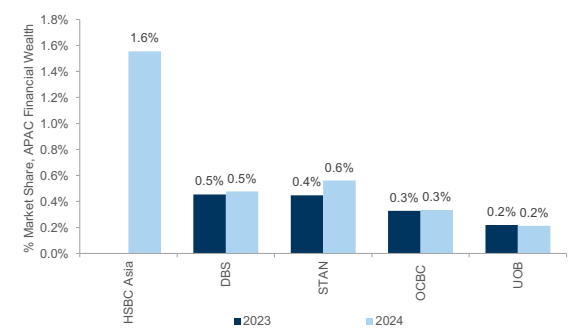
Source: Company data

Exhibit 49: . . . with net new money as a % of opening AUM continuing to stay strong. . .



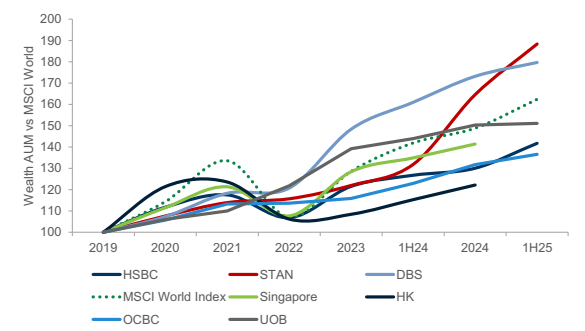
Source: Company data

Exhibit 50: DBS / STAN and OCBC grew market share in fast expanding pool of Asia financial wealth; HSBC Asia continued to hold dominant position in USD



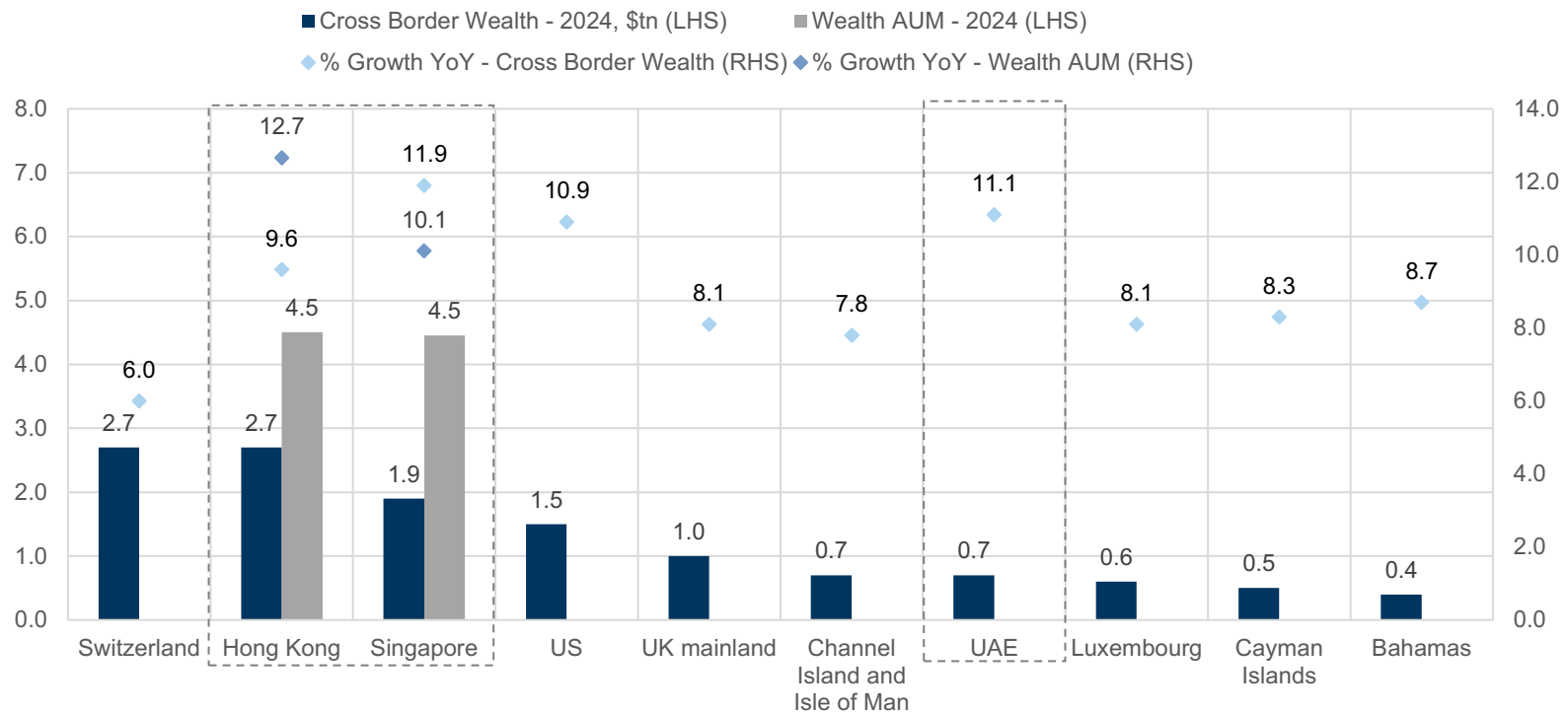
Source: BCG Global Wealth Report 2025, Company data, Goldman Sachs Global Investment Research

Exhibit 51: Wealth AUM growth for STAN and DBS outperformed equity markets supported by organic net inflow



Source: Bloomberg, Company data

Exhibit 52: Wider focus on high-growth cross-border wealth hubs positions HSBC/StanChart well to capture target customer cohort of cross-border wealth customers; Sing banks focus on HK/SG



HSBC	✓	✓	✓	✓	✓	✓	✓	✓		
STAN		✓	✓		✓	✓	✓			
BOC HK		✓								
UBS	✓	✓	✓	✓	✓	✓	✓	✓		✓
DBS		✓	✓							
OCBC		✓	✓							
UOB		✓	✓							

Source: BCG, MAS, SFC, Data compiled by Goldman Sachs Global Investment Research

Exhibit 53: STAN has broadened its wealth offering across the continuum; HSBC continues to offer widest range with in-house manufacturing; DBS focused on HK/SG

Product / Service Bucket	Standard Chartered (SC)	HSBC	UBS	DBS	BOC Hong Kong (BOCHK)	UOB	OCBC
Customer Cohort	Premium: AUM US\$25K Priority: AUM US\$100K Private: AUM US\$1mn Private Bank: Net Worth US\$10mn	Advance: US\$27K Premier: US\$133K Premier Elite: US\$1mn Private Bank: Net Worth US\$2mn	WM US Households: US\$250K WM International Households: US\$2mn Private Banking: US\$2mn	DBS Treasures: US\$270K DBS Treasures Private Client: US\$1.2mn DBS Private Bank: US\$4.4mn	I-Free Banking: US\$1K Enrich Banking: US\$27K Wealth Management: US\$133K Wealth: US\$1mn	Wealth Banking: US\$77K Privilege Banking: US\$270K Private Banking: US\$3.7mn	Premier Banking: US\$260K Premier Private: US\$1.1mn Private Banking (Bank of Singapore): US\$5mn
Mix of Customer Cohort	U/HNW: 0.3%; Mass Affluent: 52%; Mass Retail: 49%	U/HNW: 0.1% Mass Affluent: 10% Mass Retail: 89%	54% UHNW salience in Invested Assets	Not Disclosed	Not Disclosed	Not Disclosed	Not Disclosed
# of Customers	2.5mn	c.39mn	Not Disclosed	c.18.4mn (Incl. Consumer banking)	Not Disclosed	c.8.4mn (Incl. Retail Banking)	Not Disclosed
Access to Investment Products	✓	✓	✓	✓	✓	✓	✓
In-house Asset Management	■	✓	✓	■	✓	✓	✓
Years since inception	Not Disclosed	52	27	Not Disclosed	15	39	20
AUM, as of "Period"	Not Disclosed	\$731bn, as of '24	\$1,773bn, as of '24 (o/w: \$224bn in Asia Pacific)	Not Disclosed	Not Disclosed	\$29bn as of 1Q25	\$61bn as of 3Q25
Asia Pacific Coverage	Not Disclosed	Australia, Hong Kong, India, Japan, Singapore, Taiwan	Australia, Hong Kong, Singapore	Not Disclosed	Hong Kong	Singapore, Malaysia, Indonesia, Taiwan, Thailand, Vietnam	ASEAN, Greater China
Alternatives (Third party distribution / In-house funds)	✓	✓	✓	✓	✓	✓	✓
Offering	Open architecture platform; Exclusive access to SC Ventures	HSBC Alternatives (135 investment professionals)	Open Architecture; Alternatives Investments within UBS AM	Open architecture platform	Not Disclosed	Open architecture platform	>80% YoY growth in alternative investment inflows at Bank of Singapore in 2024; FIM Alternatives Select Platform; Open architecture
AUM, as of "Period"	Not Disclosed	USD 79bn of Alternative Assets, as of Jun-25	USD 450bn in Alternatives	Not Disclosed	Not Disclosed	Not Disclosed	Not Disclosed
Years since inception	SC Ventures set up in 2018	35-year track record	85 Years of experience in alternative investing	Not Disclosed	Not Disclosed	Not Disclosed	Not Disclosed
Discretionary Portfolio Management / Managed Portfolios (DPM)	✓	✓	✓	✓	✓	✓	✓
Offering	Open Architecture platform; Signature CIO Funds	Access to both third-party and HSBC AM Funds	Access to both third-party and In-house funds	Open architecture platform	Access to both third-party and In-house funds	Access to both third party and in house funds	Access to both third-party and In-house funds primarily through Bank of Singapore, OCBC's private banking arm.
AUM, as of "Period"	Signature CIO Funds: >USD1mn, as of May-24	Not Disclosed	DPM: USD 83bn in Asia	DPM: USD 8bn in Asia	Not Disclosed	Not Disclosed	Not Disclosed
Years since inception	Signature CIO Funds: Launched in 2022 with Amundi	Not Disclosed	Not Disclosed	Not Disclosed	Not Disclosed	Not Disclosed	Not Disclosed
Lending & Credit Facilities to Wealth Customers	✓	✓	✓	✓	✓	✓	✓
Loan Book Outstanding under Wealth Business, as of "Period"	Secured Wealth Products: \$22bn, as of '24	Not Disclosed	Gross Loans: US\$301mn, as of '24	Earning Assets: US\$350mn as of '24	Not Disclosed	Not Disclosed	Not Disclosed
Insurance (Third party distribution / In-house manufacturing)	✓	✓	✓	✓	✓	✓	✓
Offering	Partnership with insurance providers	In-house Insurance Manufacturing	Partnership with insurance providers	Partnership with insurance providers	In-house Insurance Manufacturing	Partnership with insurance providers	In-house Insurance Manufacturing
Market Share in Hong Kong / Singapore (5Y Change / 10Y Change)	Not Disclosed	14% in HK (+120bps / -440bps) 4% in SG (+199bps / +138bps)	Not Disclosed	Not Disclosed	8% in HK (+190bps / +150bps)	Not Disclosed	22% in SG (+326bps / +913bps)
Cross Border services	✓	✓	✓	✓	✓	✓	✓
# of Booking Centres	6 (Singapore, Hong Kong, India, UAE, UK, Cayman Islands)	19 (Across key locations in APAC, EMEA, Americas)	Multiple booking centres across globe	2 (Singapore and Hong Kong)	1 (Hong Kong for BOC HK entity)	2 (Singapore and Hong Kong)	2 (Singapore and Hong Kong)
Ranking	Private Banking: #4 Wealth Continuum: #2 (+1 YoY)	Private Banking: #2 Wealth Continuum: #1	Private Banking: #1	Private Banking: #3 Wealth Continuum: #3 (-1 YoY)	Not Disclosed	Not Disclosed	Not Disclosed

Ranking from Asian Private Banker as of 2024. Insurance Market Share for HK is based on Total Weighted Premium Income, while on Annual New Premium for Singapore.

Source: Company data, Asian Private Banker

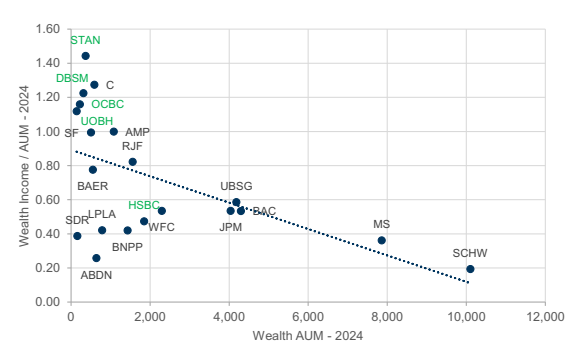
Our covered banks in stronger footing as Asia margins on wealth are richer

Banks in our coverage delivered stronger fee yield on AUM in 2024, vs global wealth managers even as Asian wealth continues to expand. This strength reflects (1) More active client profiles which tend to have higher transaction intensity with some banks noting 70% of fees are transaction based; (2) Higher focus on affluent and rising affluent with limited exposure to lower-yielding institutional / UHNW segments; (3) Likely a greater skew towards investor risk appetite, a higher-margin

product mix (structured notes, FX, etc.) with higher wealth lending.

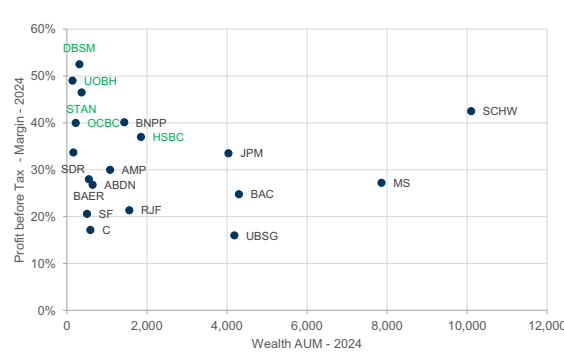
We believe that, as Asia’s wealth pool deepens and cross-border flows accelerate, banks with stronger HK/SG franchises – particularly those with higher-yielding product portfolio – are better positioned to deliver sustained wealth income growth, providing a durable tailwind to earnings.

Exhibit 54: Asia focus banks largely have higher margins. . .



Source: Company data

Exhibit 55: . . . and delivered superior PBT



Source: Company data

Exhibit 56: HK/SG banks in our coverage have a higher focus on affluent and rising affluent clients also exhibited in its lower cut-offs for private banking

Wealth Manager	Customer Cohort Breakup
STAN	Private: Net Worth >\$10mn; Priority Private: AUM >\$1mn, Priority: AUM >\$100K, Premium: AUM >\$25K
HSBC	Private Bank: Net Worth US\$2mn; Premier Elite: US\$1mn; Premier: US\$133K; Advance: US\$27K
DBS	DBS Private Bank: US\$4.4mn; DBS Treasures Private Client: US\$1.2mn; DBS Treasures: US\$270K
OCBC	Private Banking (Bank of Singapore): US\$5mn; Premier Private: US\$1.1mn; Premier Banking: US\$260K
UOB	Private Banking: US\$3.7mn; Privilege Banking: US\$270K; Wealth Banking: US\$77K
UBS	Private Banking: US\$2mn; WM International Households: US\$2mn; WM US Households: US\$250K
Citi	Private Banking: Net Worth >\$10mn, CitiGold Private Client: \$1mn; Citi Gold: US\$200K
JPM	Private Banking: >US\$10mn; Wealth Management: US\$500K; Chase Private Client: US\$150K

Source: Company data

Powering revenue growth with strong ROEs

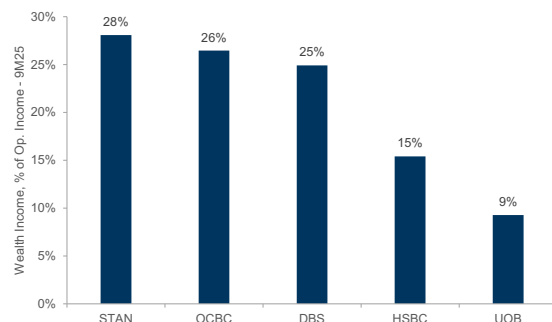
For HK/SG banks under our coverage, the wealth business has become an increasingly important earnings' driver, with growth in wealth income outpacing overall operating income. Wealth Income contributed to c.25% of operating income for STAN / OCBC and DBS in 9M25. HSBC and UOB sit at the lower end, reflecting differences in business mix and pricing. We expect this trend to sustain over 2024-27E as well, supported by an expanding Asian TAM, greater exposure to clients with higher risk appetite, and further pricing opportunities for players with more sophisticated product suites. Importantly, wealth businesses deliver materially higher returns than the group. While the average ROA of wealth is roughly in line with group ROA at c.1%, significantly lower risk weights translate into an average ROE of 44%, far above the group average of 14%. Therefore, as banks capture rising deposit inflows and convert these balances into higher-yielding invested assets, incremental wealth growth is likely to lift group returns. Our analysis indicates that an additional 5ppt of deposit growth sourced from AUM would result in meaningful uplift. For STAN and DBS - with the strongest ROE in wealth - this equates to operating-income accretion of 1.4% and 1.1%, and ROE accretion of 20bps and 13bps, respectively, for a 5ppt additional growth from invested AUM.

Wealth business: Integral pillar for earnings growth

Banks under our coverage have delivered exceptional growth with wealth income up 46% YoY in 9M vs 24% in 2024, contributing to 9%-28% of operating income. The composition within wealth income differed, however, with STAN's and the SG bank's share of net interest income and non interest income almost evenly balanced, as compared to HSBC that has the highest salience to fee income earned likely due to its non deposit taking Asset Management segment which accounts for 56% of invested assets of which 67% of it is distribution of funds is to third parties (institutional clients).

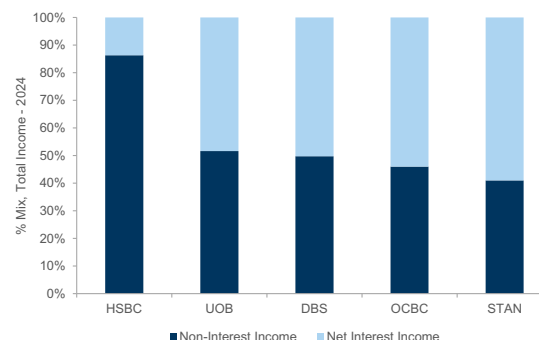
Overall, we expect wealth business to continue to outpace group operating income for banks in our coverage, underpinned by 1) Expansion of the regional TAM, 2) Rising acquisition of cross-border clients, and 3) Premium pricing for Asian players - particularly for those with exposure to higher-margin product lines. Therefore, we expect wealth fee income CAGR of 15%/15%/20%/19%/15% vs group operating income CAGR of 5%/3%/5%/1%/1% over 2024-27E, for STAN / HSBC / DBS / OCBC / UOB, respectively. Given materially higher ROE on wealth business, we believe incremental growth in wealth provides a disproportionate uplift to group returns and should remain a key driver of medium-term earnings trajectory.

Exhibit 57: Wealth income contributes 9-28% to operating income of banks in our coverage. . .



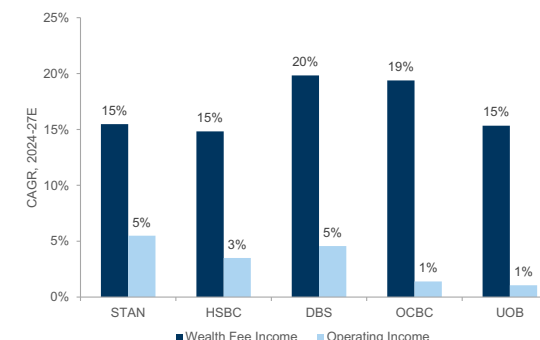
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 58: . . . where HSBC has the highest proportion of fee income to total wealth income likely given its AM business



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 59: We expect wealth fee income to grow stronger than group operating income with better margins / ROE

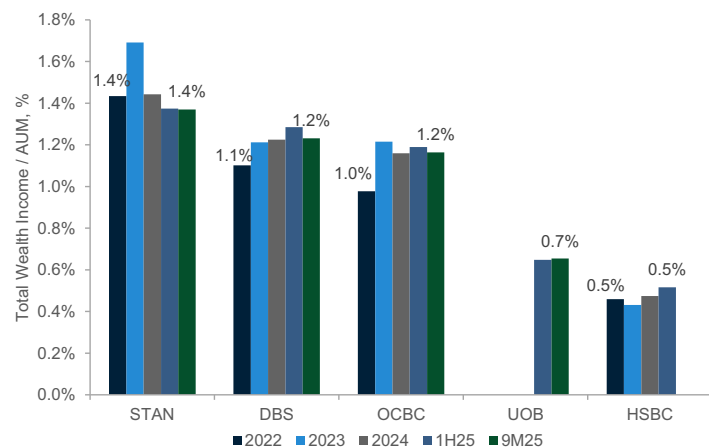


Source: Company data, Goldman Sachs Global Investment Research

Pricing comparison remains nuanced; Some players have room to improve

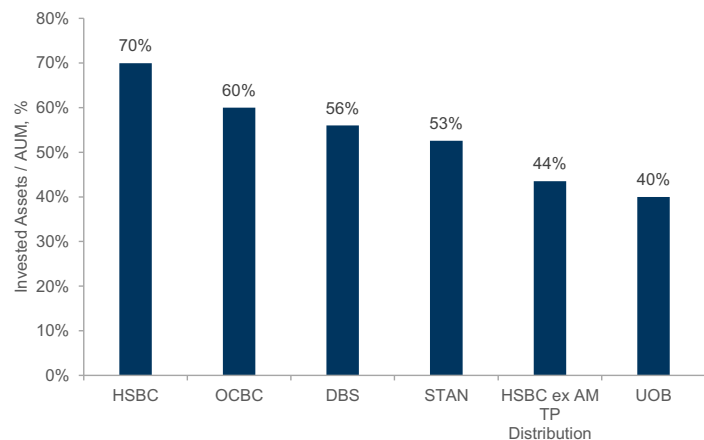
STAN leads peers on wealth yields, supported by a more sophisticated, high-margin product suite in our view. DBS and OCBC follow at slightly lower but improving yields. HSBC, however, screens lower reflecting its business mix: its in-house asset management arm (56% of invested assets) earns yields at the low-end of global peers due to higher fixed-income/liquidity and institutional investor exposure, complemented by a more conservative private-banking franchise focused on lower-risk offering ([Exhibit 63](#), [Exhibit 64](#)), with potential for higher yields if mortgages given to wealth customers were accounted within the wealth business. For STAN / OCBC and DBS, invested assets to total deposits are similar at the 53-60% range; UOB has only 40% of its AUM in invested assets, contributing to a structurally lower yield to total AUM vs peers. Given these idiosyncrasies in business mix and pricing, we believe that the key drivers of improved earning contribution will still be defined by banks' ability to 1) Capture rising deposit inflows into HK/SG, and, 2) Efficiently convert these balances into higher-yielding invested assets and 3) Product mix.

Exhibit 60: STAN leads peers in wealth pricing on stronger product sophistication; DBS/OCBC follow with slightly lower yield; UOB/HSBC well below



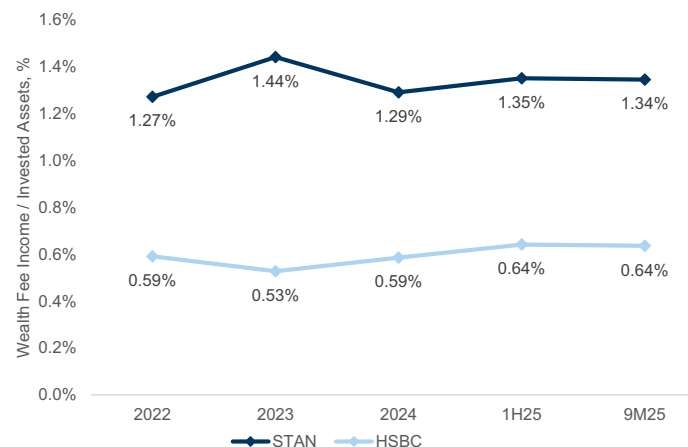
Source: Company data

Exhibit 62: Invested assets to AUM ratio are very similar except for UOB which is the lowest on longer turnaround time taken to convert deposits to AUM



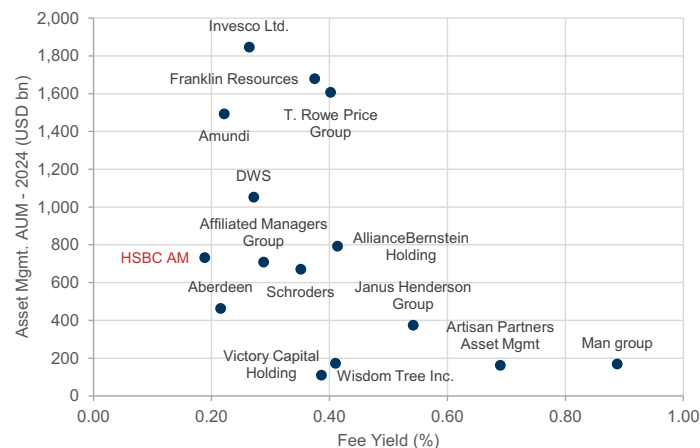
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 61: STAN's higher fee yield reflects high-margin wealth offering; HSBC includes lower-yielding asset mgmt business and focuses on lower-risk products within private banking



Source: Company data

Exhibit 63: Despite higher invested asset / AUM ratio, HSBC's lower yield is explained by asset management business yield of c.20bps on higher exposure to fixed income/liquidity and institutional mix



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 64: Moreover, HSBC's yield on private banking of only 36bps reflects its focus on lower-risk product portfolio

2024 (in US\$)	Asset Management	Private Banking	Insurance	Investment Distribution	Total	Total Ex AM
AUM (bn)	731	395	132	409	1,293	804
% Mix	44%	24%	8%	25%	100%	62%
Fee income (mn)	1,367	1,419	1,921	2,852	7,559	6,192
Fee Income / AUM	0.19%	0.36%	1.46%	0.70%	0.58%	0.77%
AUM (bn) 2023	563	302	121	205	1,191	628
Growth	30%	31%	9%	100%	9%	28%
Net Interest Income	-	971	323	-	1,294	
Total Revenue	1,367	2,390	2,244	2,852	8,853	7,486
Total Income / AUM	0.19%	0.60%	1.71%	0.70%	0.68%	0.93%

Source: Company data, Goldman Sachs Global Investment Research

Wealth business provides a durable tailwind to earnings via a superior ROE profile

Our indicative DuPont analysis shows that the wealth segment yields a material uplift to profitability, with implied ROEs of c.35-60%, well above group ROEs of 11-18%. The ability to capture the ongoing liquidity inflow will therefore be a key differentiator for bank-group-level returns in this cycle. Therefore, banks with stronger wealth franchises - marked by a comprehensive product shelf, a productive RM network, and deep cross-border capabilities - are best positioned to convert incremental deposits into high-yielding invested assets quickly, in turn supporting a stronger return profile for the bank.

To further quantify this, we look at the upside potential on banks earnings and profitability from growing its wealth business. Our analysis shows that for every 5ppt additional growth from invested AUM, banks gain an additional 1.4-1.7ppt in wealth deposit growth; for STAN and DBS, which are more profitable in this business, we expect operating income accretion of 1.4%/1.1% and ROE accretion of 20/13bps.

To that end, there could be some headwinds for this business such as: 1) Slower than expected build up in household wealth in key markets such as Greater China where household wealth saw good growth in the past decade, riding the macro tailwind. Both HK and SG banks as well have benefited from the cross-border wealth flows which could slow if China GDP growth slows materially (GS economists forecast 5.0%/4.8%/4.7% in 2025/26/27) or if regulations change and tighten wealth outflows. 2) Intensifying competition in wealth management business could see fee rates being cut to attract and retain customers or if competition for RMs accelerates which will keep C/I ratios elevated in this business. 3) Increased market volatility and risk off

behavior could dampen clients' investment demand.

Exhibit 65: Our analysis suggests that Asian banks in our coverage could potentially make ROEs in the range of 32-60% on Securities and 35%-60% on Wealth AUM from incremental deposit inflow

Indicative DuPont Analysis - Asia Banks

	STAN			HSBC			DBS			UOB			OCBC			BOS (2024 financials)
	Group (2024)	Securities	AUM	Group (2024)	Securities	AUM	Group (2024)	Securities	AUM	Group (2024)	Securities	AUM	Group (2024)	Securities	AUM	
Security Yield					3.9%			3.6%			3.6%			3.6%		
Deposit cost					2.3%			2.5%			2.9%			2.8%		
NIM	1.3%	1.6%	1.6%	1.5%	1.6%	1.4%	1.8%	1.1%	1.3%	1.8%	0.6%	1.0%	1.6%	0.7%	1.0%	1.3%
Fees/Asset	1.0%	0.0%	1.4%	0.8%	0.0%	1.3%	1.0%	0.0%	1.7%	0.9%	0.0%	1.1%	0.8%	0.0%	1.3%	1.4%
Cost/Asset	1.4%	1.0%	1.5%	1.1%	0.8%	1.7%	1.1%	0.4%	1.5%	1.1%	0.3%	1.1%	1.0%	0.3%	1.4%	1.7%
Provision/ Asset	0.1%	0.0%	0.0%	0.1%	0.0%	0.0%	0.1%	0.0%	0.0%	0.2%	0.0%	0.0%	0.1%	0.0%	0.0%	0.0%
Tax Rate	0.4%	0.2%	0.4%	0.2%	0.2%	0.2%	0.2%	0.1%	0.2%	0.2%	0.1%	0.2%	0.1%	0.1%	0.1%	0.1%
ROA	0.5%	0.5%	1.1%	0.8%	0.6%	0.8%	1.5%	0.6%	1.2%	1.2%	0.3%	0.8%	1.3%	0.3%	0.8%	0.9%
Risk Weight	29.5%	7.0%	15.4%	29.4%	7.0%	15.7%	46.0%	7.0%	15.3%	50.5%	7.0%	16.3%	39.2%	7.0%	15.4%	26.0%
RoRWA	1.7%	6.6%	7.0%	2.8%	8.6%	5.0%	3.2%	8.0%	8.1%	2.3%	4.5%	5.0%	3.2%	4.7%	5.1%	3.4%
CET1 / Leverage	14.9%	13.5%	13.5%	19.0%	14.3%	14.3%	17.5%	13.5%	13.5%	16.9%	14.0%	14.0%	23.4%	14.5%	14.5%	18.7%
ROE	11.1%	49.0%	51.9%	14.8%	60.1%	34.9%	18.1%	59.0%	60.0%	13.5%	32.0%	35.8%	13.7%	32.6%	34.9%	14.4%

Source: Goldman Sachs Global Investment Research

Exhibit 66: Our analysis suggests potential upside in the range of 20bps-70bps to our 2026E operating income estimate for banks in our coverage on 1% incremental deployment of deposits to securities or wealth

Sensitivity analysis: Impact on operating income from allocating an incremental 1% deposits to securities or wealth.												
	STAN				HSBC				DBS			
Metrics												
Deposits (2025E)	526,773				1,754,967				606,853			
Assuming 1% increase in Deposits (2025E)	5,268				17,550				6,069			
Operating Income 2026 (mn)	21,761				72,038				24,100			
	Increase in Balance	Yield (%)	Incremental Income	Potential Upside to Op. Income	Increase in Balance	Yield (%)	Incremental Income	Upside to Op. Income	Increase in Balance	Yield (%)	Incremental Income	Upside to Op. Income
Deployed to Securities												
Investments	5,268	3.9%	205	0.9%	17,550	3.9%	683	0.9%	6,069	3.6%	216	0.9%
Deposits	5,268	2.3%	121	-0.6%	17,550	2.3%	402	-0.6%	6,069	2.5%	152	-0.6%
Total			84	0.4%			281	0.4%			64	0.3%
Deposits collected from AUM												
Wealth Invested Assets	5,940	1.3%	77	0.4%	40,949	0.6%	240	0.3%	7,724	0.9%	71	0.3%
Wealth Deposits	5,268	1.6%	85	0.4%	17,550	1.4%	246	0.3%	6,069	1.3%	76	0.3%
Total			161	0.7%			485	0.7%			147	0.6%
	UOB				OCBC							
Metrics												
Deposits (2025E)	425,304				418,065							
Assuming 1% increase in Deposits (2025E)	4,253				4,181							
Operating Income 2026 (mn)	14,071				14,365							
	Increase in Balance	Yield (%)	Incremental Income	Upside to Op. Income	Increase in Balance	Yield (%)	Incremental Income	Upside to Op. Income				
Deployed to Securities												
Investments	4,253	3.6%	151	1.1%	4,181	3.6%	149	1.0%				
Deposits	4,253	2.9%	125	-0.9%	4,181	2.8%	119	-0.8%				
Total			27	0.2%			30	0.2%				
Deposits collected from AUM												
Wealth Invested Assets	2,835	0.9%	26	0.2%	6,271	0.6%	38	0.3%				
Wealth Deposits	4,253	1.0%	43	0.3%	4,181	1.0%	42	0.3%				
Total			69	0.5%			80	0.6%				

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 67: Earnings and ROE accretion potential from AUM growth

HSBC								
Operating Income uplift if deposits came as AUM								
Growth								
Invested AUM	3.0%	5.0%	7.0%	9.0%	11.0%	13.0%	15.0%	
Wealth deposit	1.0%	1.7%	2.4%	3.0%	3.7%	4.4%	5.0%	
Fees on Invested AUM	0.3%	0.5%	0.9%	1.2%	1.5%	1.9%	2.2%	2.6%
	0.4%	0.6%	1.0%	1.3%	1.7%	2.1%	2.5%	2.9%
	0.5%	0.6%	1.1%	1.5%	1.9%	2.3%	2.7%	3.2%
	0.6%	0.7%	1.2%	1.6%	2.1%	2.5%	3.0%	3.5%
	0.7%	0.8%	1.3%	1.8%	2.3%	2.8%	3.3%	3.8%
	0.8%	0.8%	1.3%	1.9%	2.4%	3.0%	3.5%	4.0%
	0.9%	0.9%	1.4%	2.0%	2.6%	3.2%	3.8%	4.3%

ROE uplift if deposits came as AUM								
Growth								
Invested AUM	3.0%	5.0%	7.0%	9.0%	11.0%	13.0%	15.0%	
Wealth deposit	1.0%	1.7%	2.4%	3.0%	3.7%	4.4%	5.0%	
AUM Fees on Assets	1.0%	2bps	3bps	5bps	6bps	8bps	9bps	10bps
	1.1%	3bps	5bps	7bps	9bps	11bps	13bps	14bps
	1.2%	4bps	6bps	9bps	11bps	14bps	16bps	19bps
	1.3%	5bps	8bps	11bps	14bps	17bps	20bps	23bps
	1.4%	5bps	9bps	13bps	16bps	20bps	23bps	27bps
	1.5%	6bps	10bps	15bps	19bps	23bps	27bps	31bps
	1.6%	7bps	12bps	17bps	21bps	26bps	31bps	35bps

DBS								
Operating Income uplift if deposits came as AUM								
Growth								
Invested AUM	3.0%	5.0%	7.0%	9.0%	11.0%	13.0%	15.0%	
Wealth deposit	1.0%	1.7%	2.4%	3.1%	3.8%	4.5%	5.2%	
Fees on Invested AUM	0.7%	0.6%	0.8%	1.0%	1.2%	1.4%	1.7%	1.9%
	0.9%	0.6%	0.8%	1.1%	1.3%	1.5%	1.7%	1.9%
	1.1%	0.7%	0.9%	1.1%	1.3%	1.6%	1.8%	2.0%
	1.3%	0.8%	1.0%	1.2%	1.4%	1.6%	1.8%	2.1%
	1.5%	0.8%	1.0%	1.3%	1.5%	1.7%	1.9%	2.1%
	1.7%	0.9%	1.1%	1.3%	1.5%	1.8%	2.0%	2.2%
	1.9%	1.0%	1.2%	1.4%	1.6%	1.8%	2.0%	2.3%

ROE uplift if deposits came as AUM								
Growth								
Invested AUM	3.0%	5.0%	7.0%	9.0%	11.0%	13.0%	15.0%	
Wealth deposit	1.0%	1.7%	2.4%	3.1%	3.8%	4.5%	5.2%	
AUM Fees on Assets	1.1%	3bps	6bps	8bps	10bps	13bps	15bps	17bps
	1.3%	5bps	8bps	12bps	15bps	18bps	21bps	25bps
	1.5%	7bps	11bps	15bps	20bps	24bps	28bps	32bps
	1.7%	8bps	13bps	19bps	24bps	29bps	35bps	40bps
	1.9%	10bps	16bps	22bps	29bps	35bps	41bps	48bps
	2.1%	11bps	19bps	26bps	33bps	41bps	48bps	55bps
	2.3%	13bps	21bps	29bps	38bps	46bps	55bps	63bps

STAN								
Operating Income uplift if deposits came as AUM								
Growth								
Invested AUM	3.0%	5.0%	7.0%	9.0%	11.0%	13.0%	15.0%	
Wealth deposit	1.1%	1.9%	2.6%	3.3%	4.1%	4.8%	5.6%	
Fees on Invested AUM	1.0%	0.8%	1.3%	1.8%	2.3%	2.8%	3.3%	3.8%
	1.1%	0.8%	1.3%	1.8%	2.4%	2.9%	3.4%	3.9%
	1.2%	0.8%	1.4%	1.9%	2.5%	3.0%	3.5%	4.1%
	1.3%	0.8%	1.4%	2.0%	2.5%	3.1%	3.7%	4.2%
	1.4%	0.9%	1.5%	2.1%	2.6%	3.2%	3.8%	4.4%
	1.5%	0.9%	1.5%	2.1%	2.7%	3.3%	4.0%	4.6%
	1.6%	0.9%	1.6%	2.2%	2.8%	3.5%	4.1%	4.7%

ROE uplift if deposits came as AUM								
Growth								
Invested AUM	3.0%	5.0%	7.0%	9.0%	11.0%	13.0%	15.0%	
Wealth deposit	1.1%	1.9%	2.6%	3.3%	4.1%	4.8%	5.6%	
AUM Fees on Assets	1.1%	9bps	15bps	20bps	26bps	32bps	38bps	43bps
	1.2%	10bps	16bps	23bps	29bps	36bps	42bps	49bps
	1.3%	11bps	18bps	25bps	33bps	40bps	47bps	54bps
	1.4%	12bps	20bps	28bps	36bps	44bps	51bps	59bps
	1.5%	13bps	22bps	30bps	39bps	47bps	56bps	64bps
	1.6%	14bps	23bps	33bps	42bps	51bps	61bps	70bps
	1.7%	15bps	25bps	35bps	45bps	55bps	65bps	75bps

OCBC								
Operating Income uplift if deposits came as AUM								
Growth								
Invested AUM	3.0%	5.0%	7.0%	9.0%	11.0%	13.0%	15.0%	
Wealth deposit	1.0%	1.6%	2.3%	2.9%	3.6%	4.3%	4.9%	
Fees on Invested AUM	0.3%	0.3%	0.5%	0.7%	0.9%	1.0%	1.2%	1.4%
	0.5%	0.3%	0.5%	0.7%	0.9%	1.0%	1.2%	1.4%
	0.7%	0.3%	0.5%	0.7%	0.9%	1.0%	1.2%	1.4%
	0.9%	0.3%	0.5%	0.7%	0.9%	1.1%	1.2%	1.4%
	1.1%	0.3%	0.5%	0.7%	0.9%	1.1%	1.2%	1.4%
	1.3%	0.3%	0.5%	0.7%	0.9%	1.1%	1.3%	1.4%
	1.5%	0.3%	0.5%	0.7%	0.9%	1.1%	1.3%	1.4%

UOB								
Operating Income uplift if deposits came as AUM								
Growth								
Invested AUM	3.0%	5.0%	7.0%	9.0%	11.0%	13.0%	15.0%	
Wealth deposit	0.9%	1.4%	2.0%	2.6%	3.1%	3.7%	4.3%	
Fees on Invested AUM	1.0%	0.4%	0.6%	0.8%	0.9%	1.1%	1.3%	1.5%
	1.2%	0.5%	0.6%	0.8%	1.0%	1.1%	1.3%	1.5%
	1.4%	0.5%	0.7%	0.8%	1.0%	1.2%	1.4%	1.5%
	1.6%	0.5%	0.7%	0.9%	1.0%	1.2%	1.4%	1.6%
	1.8%	0.6%	0.7%	0.9%	1.1%	1.3%	1.4%	1.6%
	2.0%	0.6%	0.8%	0.9%	1.1%	1.3%	1.5%	1.6%
	2.2%	0.6%	0.8%	1.0%	1.1%	1.3%	1.5%	1.7%

ROE uplift if deposits came as AUM								
Growth								
Invested AUM	3.0%	5.0%	7.0%	9.0%	11.0%	13.0%	15.0%	
Wealth deposit	0.9%	1.4%	2.0%	2.6%	3.1%	3.7%	4.3%	
AUM Fees on Assets	0.5%	0bps	1bps	1bps	1bps	2bps	2bps	2bps
	0.7%	2bps	3bps	4bps	5bps	6bps	7bps	9bps
	0.9%	3bps	5bps	7bps	9bps	11bps	13bps	15bps
	1.1%	4bps	7bps	10bps	13bps	15bps	18bps	21bps
	1.3%	5bps	9bps	13bps	16bps	20bps	23bps	27bps
	1.5%	7bps	11bps	16bps	20bps	24bps	29bps	33bps
	1.7%	8bps	13bps	18bps	24bps	29bps	34bps	39bps

Source: Goldman Sachs Global Investment Research

Market is undervaluing the wealth segments for our coverage banks

To gauge the value of the wealth business of the HK and SG banks, we use the peer average valuation of wealth majors, such as UBS, Julius Baer, Citi, JPM, and MS, to value STAN's wealth business. We use this peer comp on the income from the wealth business for 2025 to derive an estimated valuation for the affluent business. Backing this out from the current market cap shows that the remaining group (ex affluent business) would imply a FY25E P/E range of 5.0X-13.4X, which on average is below its DM peers at 13.4X 2025P/E. This in our view shows that the market has yet to appreciate the HK/SG banks' wealth business for its growth and profitability and/or the profitability and growth potential of the rest of the group.

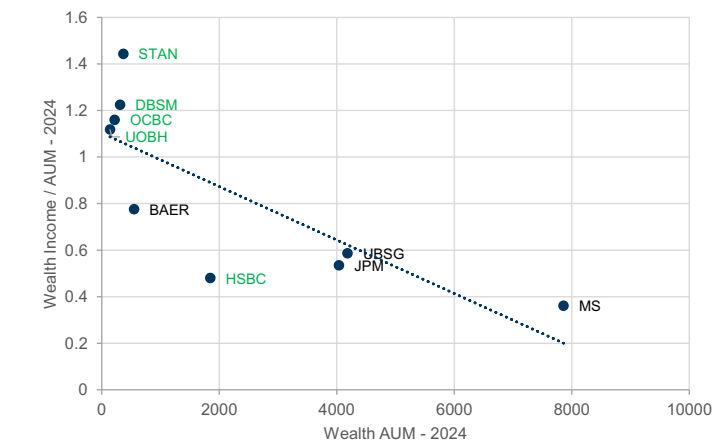
Exhibit 68: We believe STAN's valuation is attractive when compared with peers

US\$ / S\$ mn	2025E Wealth PAT	Average FY25E of peers (X)	Affluent business value	Current Market Cap	Current Affluent business % market Cap	Rest of group FY25E PAT	Rest of group implied FY25E P/E (X)
STAN	2,200	15.2	33,495	50,000	67%	3,304	5.0
HSBC	5,038	15.2	76,707	255,600	30%	20,359	8.8
DBS	2,503	15.2	38,104	153,771	25%	8,636	13.4
UOB	955	15.2	14,543	57,577	25%	3,659	11.8
OCBC	1,075	15.2	16,370	85,426	19%	6,293	11.0
Average of DM peer banks							13.4

DM peers include JPM, Citi, BAC, UBS, BNP, Barclays, CBA, WBC, NAB, ANZ, MUFG, SMFG, KB, BOC HK and BEA.

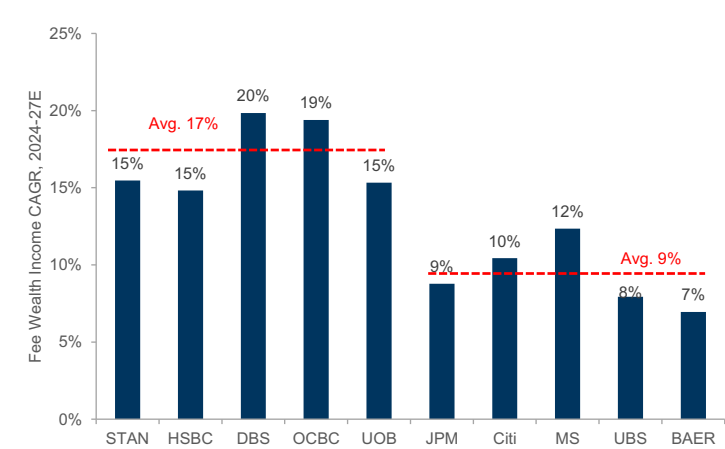
Source: Company data, Bloomberg, Goldman Sachs Global Investment Research

Exhibit 69: HK/SG banks in our coverage delivered stronger wealth income to AUM than global peers with reasonable regional presence. . .



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 70: . . . with a stronger growth outlook for wealth fee income



Source: Company data, Goldman Sachs Global Investment Research

Upgrade STAN to Buy; Earnings up 5%/6% in 2026E / 2027E

2888.HK	12m Price Target: HK\$203	Price: HK\$174.4	Upside: 16.4%			
Buy	GS Forecast					
		12/24	12/25E	12/26E	12/27E	
	Market cap: HK\$399.9bn / \$51.4bn	Net inc. (\$ mn) New	3,593.0	4,718.3	4,858.4	5,956.7
	3m ADTV :HK\$125.5mn/ \$16.1mn	Net inc. (\$ mn) Old	3,593.0	4,651.5	4,611.5	5,633.5
	Hong Kong	EPS (HK\$) New	12.32	17.86	19.09	22.19
	Hong Kong Financials	EPS (HK\$) Old	12.32	17.64	18.24	20.99
		EPS growth (%)	23.1	45.1	7.1	16.2
	M&A Rank: 3	P/E (X)	6.1	9.8	9.1	7.9
		P/B (X)	0.5	1.1	1.0	0.9
		Price/PPOP (X)	7.3	6.5	6.0	5.0
		Dividend yield (%)	3.8	2.1	2.7	3.8
			6/25	9/25	12/25E	--
		EPS (HK\$)	5.88	4.11	2.94	--

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 10 Dec 2025 close.

STAN.L		12m Price Target: 1965p		Price: 1703.5p		Upside: 15.4%	
Buy		GS Forecast					
			12/24	12/25E	12/26E	12/27E	
Market cap: £39.1bn / \$52.0bn	Net inc. (\$ mn) New	3,593.0	4,718.3	4,858.4	5,956.7		
3m ADTV :£74.8mn/ \$99.6mn	Net inc. (\$ mn) Old	3,593.0	4,651.5	4,611.5	5,633.5		
United Kingdom	EPS (\$) New	1.58	2.30	2.45	2.85		
Europe Banks	EPS (\$) Old	1.58	2.27	2.34	2.70		
	EPS growth (%)	22.7	44.9	6.9	16.2		
M&A Rank: 3	P/E (X)	6.1	9.9	9.2	8.0		
	P/B (X)	0.5	1.1	1.1	1.0		
	Price/PPOP (X)	7.4	6.6	6.1	5.1		
	Dividend yield (%)	3.8	2.1	2.7	3.8		
		9/25	12/25E	3/26E	6/26E		
	EPS (\$)	0.53	0.38	0.63	0.72		

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 10 Dec 2025 close.

We revise our underlying EPS estimates up by 1%/5%/6% for 2025/26/27E, driven by higher NII and non-NII on the back of the robust liquidity momentum. Our 12m 2-stage DDM-based target price for 2888.HK is revised to HK\$203 from our prior 12m RIM-based TP of HK\$168, where the changes in assumption is the LT payout increasing to 70% from 23%. Our 12m target price for STAN.L increases from 1,670p to 1,965p as a result of our estimate changes and as we raise our target P/E multiple from 8.5x to 9.5x, given continued successful execution of management's strategic agenda, and a resilient profitability outlook. We value STAN.L using a P/E methodology applied 25/75 to our 2026/27E EPS. Read our upgrade report [here](#). Meanwhile, we have also increased our EPS estimates for HSBC (Not Rated) by 2% each in 2026E / 2027E driven by the increase in deposit growth and better wealth fees.

Exhibit 71: We upgrade estimates for STAN / HSBC by 5% / 2% and 6% / 2%, respectively for 2026E and 2027E

Company	New EPS estimates (S\$)			Old EPS estimates			Earnings change		
	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E
DBS	3.93	4.16	4.45	3.93	4.16	4.45	0.0%	0.0%	0.0%
OCBC	1.64	1.63	1.75	1.64	1.63	1.75	0.0%	0.0%	0.0%
UOB	2.70	3.31	3.54	2.70	3.31	3.54	0.0%	0.0%	0.0%
Singapore	2.76	3.03	3.24	2.76	3.03	3.24	0.0%	0.0%	0.0%
STAN	17.86	19.09	22.19	17.64	18.24	20.99	1.2%	4.7%	5.7%
HSBC	11.28	12.07	13.10	11.18	11.83	12.85	0.9%	2.0%	1.9%
Hong Kong	14.57	15.58	17.64	14.41	15.03	16.92	1.1%	3.4%	3.8%

Source: Goldman Sachs Global Investment Research

0005.HK	Price Target: --	Price: HK\$111.7	--		
Not Rated	GS Forecast				
		12/24	12/25E	12/26E	12/27E
Market cap: HK\$2.0tr / \$257.2bn	Net inc. (\$ mn) New	22,917.0	20,461.3	26,276.6	28,449.7
3m ADTV :HK\$1.7bn/ \$217.5mn	Net inc. (\$ mn) Old	22,917.0	20,238.1	25,745.1	27,909.3
Hong Kong	EPS (HK\$) New	10.44	11.28	12.07	13.10
Hong Kong Financials	EPS (HK\$) Old	10.44	11.18	11.83	12.85
	EPS growth (%)	6.2	8.1	7.2	8.5
	P/E (X)	6.4	9.9	9.3	8.5
	P/B (X)	0.9	1.4	1.3	1.3
	Price/PPOP (X)	7.4	7.0	6.8	6.5
	Dividend yield (%)	10.2	5.0	5.4	5.9
		9/25	12/25E	3/26E	6/26E
	EPS (HK\$)	2.72	2.50	--	--

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 10 Dec 2025 close.

HSBA.L		Price Target: --		Price: 1102.2p		--	
Not Rated		GS Forecast					
			12/24	12/25E	12/26E	12/27E	
Market cap: £197.5bn / \$263.1bn		Net inc. (\$ mn) New	22,917.0	20,461.3	26,276.6	28,449.7	
3m ADTV :£259.6mn/ \$345.4mn		Net inc. (\$ mn) Old	22,917.0	20,238.1	25,745.1	27,909.3	
United Kingdom		EPS (\$) New	1.34	1.45	1.55	1.68	
Europe Banks		EPS (\$) Old	1.34	1.44	1.52	1.65	
		EPS growth (%)	5.8	8.0	7.0	8.5	
		P/E (X)	6.4	10.1	9.5	8.7	
		P/B (X)	0.9	1.5	1.4	1.3	
		Price/PPOP (X)	7.6	7.1	7.0	6.7	
		Dividend yield (%)	10.2	4.9	5.3	5.7	
			9/25	12/25E	3/26E	6/26E	
		EPS (\$)	0.35	0.32	0.42	0.40	

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 10 Dec 2025 close.

Disclosure Appendix

Reg AC

We, Melissa Kuang, CFA, Chris Hallam, Benjamin Caven-Roberts, Olivia Shi and Wuzmal Handu, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

M&A Rank

Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

Disclosures

Financial Advisory Disclosures

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On September 4, 2025, Goldman Sachs announced a strategic collaboration with T. Rowe Price and a plan to invest, through a series of open-market purchases, up to \$1 billion in T. Rowe Price common stock with the intention to own up to 3.5 percent.

Rating and pricing information

DBS Group (Buy, S\$54.39), Oversea-Chinese Banking Corp. (Buy, S\$18.95) and United Overseas Bank (Neutral, S\$34.28)

The rating(s) for DBS Group, Oversea-Chinese Banking Corp., Standard Chartered Bank and United Overseas Bank is/are relative to the other companies in its/their coverage universe: BDO Unibank, BOC Hong Kong (Holdings), Bangkok Bank, Bank Central Asia, Bank Mandiri, Bank Negara Indonesia, Bank Rakyat Indonesia, Bank of East Asia, Bank of Philippine Islands, DBS Group, Kasikornbank, Krung Thai Bank, Metropolitan Bank and Trust Co, Oversea-Chinese Banking Corp., SCB X PCL, Standard Chartered Bank, TMThanachart Bank PCL, United Overseas Bank

The rating(s) for Standard Chartered is/are relative to the other companies in its/their coverage universe: ABN Amro Bank, AIB Group, Alpha Bank, BAWAG Group, BBVA, BNP Paribas, Banco BPM SpA, Banco Comercial Portugues, Banco Santander, Bank of Ireland Group, Bankinter, Barclays Plc, CaixaBank SA, Commerzbank AG, Credit Agricole SA, DNB, Danske Bank, Deutsche Bank, Eurobank Holdings, ING Groep NV, Intesa Sanpaolo, Julius Baer Group, KBC Group, Lloyds Banking Group, NOBA Bank Group, National Bank of Greece, Natwest Group, Nordea, Piraeus Financial Holdings, Poste Italiane, SEB, Shawbrook Group, Societe Generale, Standard Chartered, Svenska Handelsbanken, Swedbank, UBS Group, UniCredit, Unicaja Banco SA

Company-specific regulatory disclosures

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Goldman Sachs expects to receive or intends to seek compensation for investment banking services in the next 3 months: DBS Group (\$54.39), HSBC (1,112.6p), HSBC (ADR) (\$75.24), HSBC Holdings (HK\$114.00), Oversea-Chinese Banking Corp. (\$18.95), Standard Chartered (1,717p), Standard Chartered Bank (HK\$177.00) and United Overseas Bank (\$34.28)

Goldman Sachs has received compensation for non-investment banking services during the past 12 months: DBS Group (\$54.39), HSBC (1,112.6p), HSBC (ADR) (\$75.24), HSBC Holdings (HK\$114.00), Oversea-Chinese Banking Corp. (\$18.95), Standard Chartered (1,717p), Standard Chartered Bank (HK\$177.00) and United Overseas Bank (\$34.28)

Goldman Sachs had an investment banking services client relationship during the past 12 months with: DBS Group (\$54.39), HSBC (1,112.6p), HSBC (ADR) (\$75.24), HSBC Holdings (HK\$114.00), Oversea-Chinese Banking Corp. (\$18.95), Standard Chartered (1,717p), Standard Chartered Bank (HK\$177.00) and United Overseas Bank (\$34.28)

Goldman Sachs had a non-investment banking securities-related services client relationship during the past 12 months with: DBS Group (\$54.39), HSBC (1,112.6p), HSBC (ADR) (\$75.24), HSBC Holdings (HK\$114.00), Oversea-Chinese Banking Corp. (\$18.95), Standard Chartered (1,717p), Standard Chartered Bank (HK\$177.00) and United Overseas Bank (\$34.28)

Goldman Sachs had a non-securities services client relationship during the past 12 months with: DBS Group (\$54.39), HSBC (1,112.6p), HSBC (ADR) (\$75.24), HSBC Holdings (HK\$114.00), Oversea-Chinese Banking Corp. (\$18.95), Standard Chartered (1,717p), Standard Chartered Bank (HK\$177.00) and United Overseas Bank (\$34.28)

Goldman Sachs has managed or co-managed a public or Rule 144A offering in the past 12 months: HSBC (1,112.6p), HSBC (ADR) (\$75.24), HSBC Holdings (HK\$114.00), Standard Chartered (1,717p) and Standard Chartered Bank (HK\$177.00)

Goldman Sachs makes a market in the securities or derivatives thereof: HSBC (1,112.6p), HSBC (ADR) (\$75.24), HSBC Holdings (HK\$114.00), Standard Chartered (1,717p) and Standard Chartered Bank (HK\$177.00)

Goldman Sachs International acts as corporate broker to: Standard Chartered (1,717p) and Standard Chartered Bank (HK\$177.00)

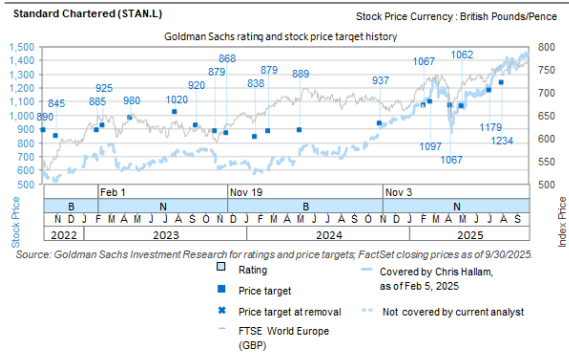
Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

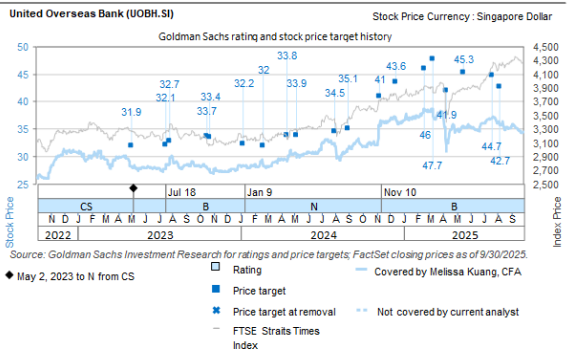
	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
Global	49%	34%	17%	63%	58%	42%

As of October 1, 2025, Goldman Sachs Global Investment Research had investment ratings on 3,014 equity securities. Goldman Sachs assigns stocks as Buys and Sells on various regional Investment Lists; stocks not so assigned are deemed Neutral. Such assignments equate to Buy, Hold and Sell for the purposes of the above disclosure required by the FINRA Rules. See ‘Ratings, Coverage universe and related definitions’ below. The Investment Banking Relationships chart reflects the percentage of subject companies within each rating category for whom Goldman Sachs has provided investment banking services within the previous twelve months.

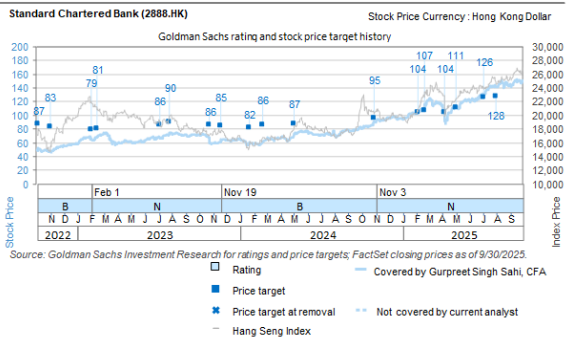
Price target and rating history chart(s)



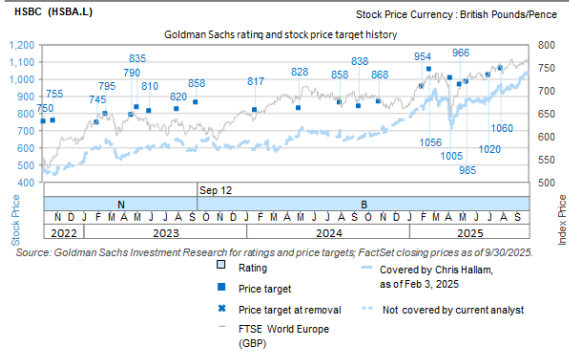
The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.



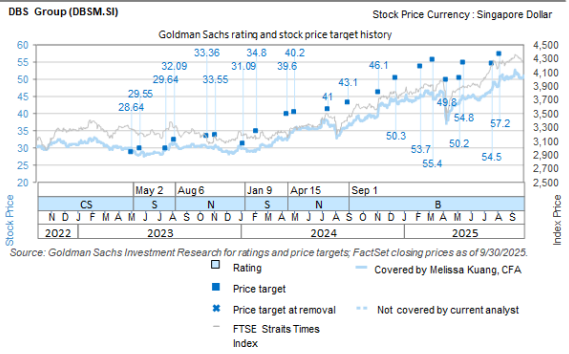
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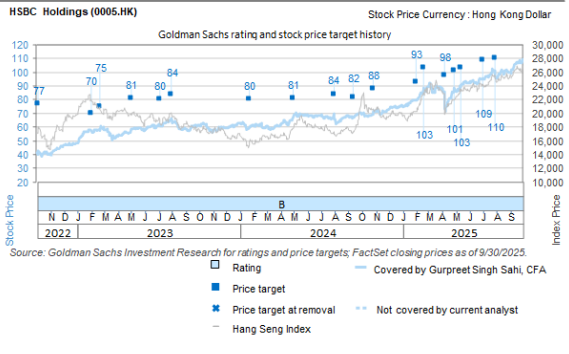
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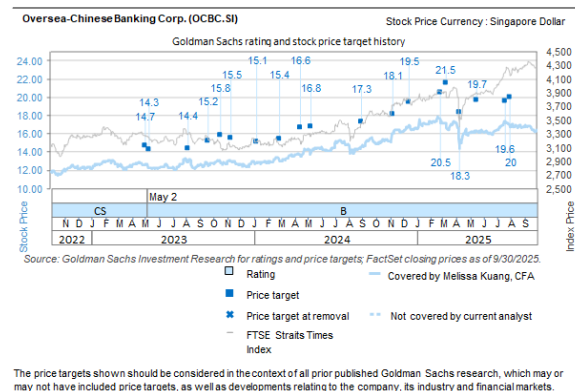
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